

LIVING & WORK LITERACY **3**

SMALL ENTERPRISE MANAGEMENT



Brian Parker



Quality ready-to-use
resources



LIVING & WORK LITERACY

3

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Brian Parker



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Introduction

The photocopiable activities in this book explore the nature of small enterprises. The topics provide a sound overview of how a small enterprise is managed, and will be suitable for students who are considering a future in small business, as well as those who are exploring various employment options.

As they complete these activities, students will discover the different types of businesses and how they work. They will also be introduced to essential business elements such as advertising, risk management and taxation. Concepts are explored through a range of challenging short answer, class discussion and research activities. The use of case studies and scenarios provide real-life learning situations which students will be able to apply to their own business planning.

Topics contained in this book are suitable for secondary school subjects in years 7–10 that teach young people about practical life skills. Other books in the *Living and Work Literacy* series cover topics such as money and being a wise consumer, government and law, and work skills.

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I Going into business

Why do some people go into business?

Case study: Angelina Drano

Angelina Drano left school and worked for a plumber for wages. She went to a TAFE college to do her apprenticeship and gained a plumbing certificate. She was a fully qualified plumber, and decided she would rather have a plumbing business of her own. She no longer wanted to work for someone else, she wanted to work for herself.

She had saved up some money but this was not enough to begin a business, so she approached her bank to apply for a loan. With the money she now had she purchased a truck and some tools and equipment. She advertised in the local newspaper to let people know she was available to do plumbing jobs in the area. She found it was important to quote competitively for jobs. If she charged too much, nobody would hire her – but if she charged too little, she couldn't cover her costs.

As a one-person business, Angelina was responsible for all the tasks that running a business required. This included making phone calls, ordering supplies, quoting on jobs and keeping business records.

She found that if the income she received from her customers was greater than her expenses, such as repayments on the loan, purchase of supplies and renewing tools and equipment, she had made a profit. This profit, she felt, was the reward for taking the risk of possibly losing money. However, if her expenses exceeded her income, this would amount to a loss.

Fortunately for Angelina she was successful and made enough profit for her to continue her business. She figured that, if she later got into difficulties and her business ran at a loss, she could always go back and work for a boss, for wages.

The story above illustrates how a sole trader might operate. Other forms of business are partnerships and companies.

Important terms

Business: an organisation which sells goods or services for a profit

Capital: the money initially invested in a business

Company: a form of business which exists separately from its owners

Enterprise: organisational skills needed to produce goods and services; also another name for a business

Entrepreneur: someone who owns and runs a business

Expenses: costs involved in the process of earning money

Income: money which comes into the business, usually from sales

Loss: when expenses exceed income

Partnership: a business that is owned by two or more people

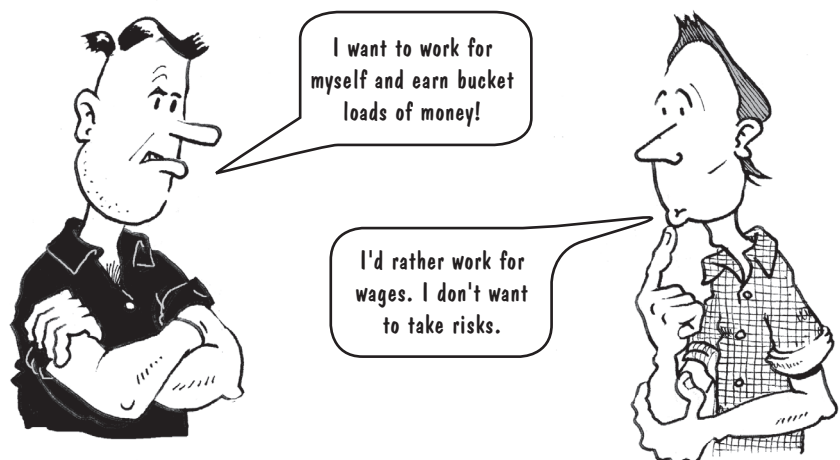
Profit: the reward for risk-taking; the excess of income over expenses

Proprietor: the owner of a business

Sole trader: a business that has only one owner

STRANGE BUT TRUE!

About two-thirds of businesses are still operating after five years. The majority of businesses that cease operations are not failures, but end because the owner retires or seeks a different lifestyle.



Activities

- 1 Write a list of reasons why people may go into business.
- 2 Why do some people prefer not to go into business, but to work for wages or a salary?
- 3 What advantages did Angelina Drano have that increased the likeliness of her success in business?
- 4 What role do you think her TAFE course played in this?
- 5 What could Angelina do if her business ran at a loss or she decided she didn't like what he was doing?
- 6 Explain how Angelina set up the capital needed for her business.
- 7 Make a list of some of the tasks that Angelina would have to perform in the course of running a business.
- 8 What could Angelina do if she found she didn't have time to do all the tasks?
- 9 What risks did Angelina take in starting a business?
- 10 What is the accepted reward for taking risks as a businessperson?
- 11 Indicate whether the following statements are true or false.
 - A loss occurs when income exceeds expenses.
 - The money you invest in a business is called capital.
 - A proprietor is the owner of a business.
 - A businessperson receives wages as the reward for taking risks.
 - An entrepreneur is someone who works for a boss.
- 12 Rearrange the following letters to make words which are related to business. Write a definition for each one.
 - a T R O R O P E I R P
 - b S T E R P N I E R E
 - c T I F O R P
 - d L A T A P I C
 - e S E P E X N S E



In groups, discuss the advantages and disadvantages of going into business. Organise your ideas into a table on a large sheet of paper or cardboard.

Consider the possibilities of setting up a small business with those in your group. Brainstorm possible types of businesses. For each possibility, discuss what would be involved in that business and how likely it is to succeed. Hold a group vote to find out the most popular choice. To extend the activity, you could choose a name for your business and design a logo and newspaper advertisement.

2 Qualities of a good businessperson

What are the necessary qualities of a successful businessperson? Sometimes luck plays a part, but other factors are much more important. The checklist below is a useful guide to the qualities that a good businessperson should have.

Qualities checklist – the top ten

- | | |
|---|---|
| ☐ leadership | ☐ ability to accept responsibility |
| ☐ capacity for hard work | ☐ adaptability |
| ☐ ability to handle stress | ☐ flexibility |
| ☐ ability to make hard decisions | ☐ courtesy |
| ☐ competitive spirit | ☐ concern for others |

The following case study illustrates the importance of these qualities for the success of a business.

Matthew and Andrew Italia – Terrafirma Technologies

Even when he was at primary school Matthew Italia helped his teachers to fix computers and solve their IT problems. So it wasn't a surprise when Matthew started up his own small IT business as a teenager. Later he went on to register and operate the business in busy, central Geelong as a 21-year-old. Starting as a sole trader, Matthew later went into partnership with his younger brother, Andrew, who showed the same IT problem-solving capabilities.

Their business, Terrafirma Technologies, provides IT-related services. They targeted the small business sector and home users.

"We source and provide software and hardware at competitive prices, and advise people so they can get the most out of their IT system. A lot of people with small home offices also use our services as they lack the backup of an IT specialist that a bigger company can offer," Matthew said.

"We also rectify computer faults, update computer security systems, and I have provided advice in networking, Internet connections, telecommunications systems and mobile phone systems."

Matthew has a degree in Internet computing from R.M.I.T. while Andrew is currently studying a Bachelor of Information Technology, majoring in computer security and fraud detection.

"I had always fixed computers for friends and family, but the turning point for me came in Year 10, when I completed work experience at a local computer store," Matthew said.

"I realised I could explain difficult concepts about technology in ways that people without much IT knowledge and experience could understand. The work experience gave me the confidence to take the step towards starting my own small business."

Matthew likes working with his brother as he finds they complement each other's skill sets. "It's great bouncing ideas off each other about how to improve our business, and know that we will be the ones who reap the benefits of working hard together."

"We respect each other's knowledge and opinions, but feel comfortable to challenge each other as well," Andrew said.

"Our families have always been in small business and we have an uncle who mentors us and provides us with advice and feedback."

Most of their initial business was generated through word-of-mouth, but they still needed to expand their client base to support themselves in full-time jobs. They have found that advertising their business through well-known computer journals and in local newspapers has helped to attract new clients.

"It's very demanding running your own business and you have to have a wide range of skills besides just knowing a lot about IT. You need accounting and marketing skills as well as knowing how to provide great customer service," Andrew says.

"We aren't sure what our next step in the business will be – whether to open retail premises or employ staff – there is always a lot of planning and 'thinking ahead' in small business, and that's what we love."

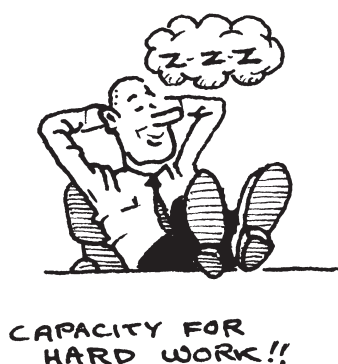
Activities

- 1 Read the case study about Matthew and Andrew Italia.
 - a What prompted Matthew Italia to go into business?
 - b What advantages did Matthew have which would be likely to help him succeed in his business?
 - c What benefits would have come from the brothers going into partnership?
 - d What is the essential nature of their business?
 - e What problems could occur with two brothers going into partnership together? Did this happen in this business? Explain.
 - f Which qualities from the checklist on the previous page do you think the Italia brothers demonstrated? Explain how.
- 2 "I plan to do some leadership training, because as a managing director I have to lead a lot of people." This is a comment from a 23-year-old woman who wants to launch her own magazine business. Explain why leadership is such an important quality in a successful businessperson.
- 3 Why is the capacity for hard work important in a business?
- 4 Explain the importance of being able to handle stress when running a business.
- 5 Give an example of a situation where you might need to be adaptable and flexible in running a business.
- 6 A competitive spirit and concern for others are two important qualities. Explain how you can have both of these qualities.
- 7 What is meant by 'the ability to accept responsibility'? Why is it so important?
- 8 What is your view courtesy in business? Why is it important?
- 9 Explain, using an example, how luck can have a positive or a negative effect on a business.
- 10 Select a person in your class who you consider would make a good businessperson. Explain the reasons for your choice.



Using the ten qualities mentioned above, discuss in groups how important each one is for success in business. Develop a ranking, in order of importance. Present your ranking to other groups in the class and be prepared to justify your decisions. From the different group rankings, come up with a whole-class ranking.

QUALITIES OF A GOOD BUSINESSPERSON?



3 Business organisations

Anyone wanting to go into business needs to be aware of the different types of business organisations and the laws which affect them. Most people going into a business for the first time will become a sole trader but may later decide to form a partnership. Setting up a company is more complex.

Business organisations

Geeta Pivari owns her own business as a hairdresser.

- Her business is small in size.
- She is responsible for the success or failure of the business.
- She has unlimited liability. (If the business fails, Geeta as the owner suffers the loss.)
- Geeta's type of business is the most common form of business in Australia.
- Businesses like Geeta's usually consist of corner stores, small farms, trades people (such as carpenters, electricians, plumbers, computer technicians).

Geeta Pivari is a sole trader.

Dario Salazer and Alan Monie own a business repairing motor vehicles.

- They share the workload equally (but they don't have to).
- They share in the profits (again not necessarily in equal shares, depending on their agreement).
- They have formalised their agreement in writing in the form of a partnership agreement, which sets out how the partnership is organised (in case of disputes).
- As partners, they have unlimited liability. (If the partnership fails, Dean and Alan are separately liable for the debts of their business.)

Salazer and Monie are a partnership.

Goodfellas is the name of a business selling computer software. It is a company and therefore exists separately from its owners.

- It has perpetual succession and is known as an entity (it continues despite the death or bankruptcy of any of its owners).
- The owners of Goodfellas are the shareholders, who have put varying sums of money into the company.
- The liability of these shareholders is limited, meaning that shareholders can only lose the value of their shares (or the money they put into the company).
- The shareholders are entitled to a share of the profits of the company, normally in proportion to their shareholdings.
- Last year the profit of Goodfellas was \$200 000. This was paid as dividends to the shareholders.
- Goodfellas is managed by Jake Pegg who is the Chief Executive Officer (CEO). He is responsible to a Board of Directors (elected by the shareholders).
- In future years, Goodfellas' Board of Directors may decide to put some of the profits back into the company to help it expand.

Goodfellas is a company.

Other forms of business include:

- co-operatives, in which the people buying or selling the products also share in the profits (such as a university co-operative bookstore or a farmers' co-operative)
- incorporated associations, like large licensed clubs, which are run like a company except that the profits or proceeds are used for the benefit of the members.

Companies may be:

- private (where shares are offered to selected people)

or

- public (in which the shares are offered to the public for sale through the Australian Stock Exchange). Public companies are generally large businesses where shares are openly traded on the stock exchange.

Activities

- 1 Explain the meaning of the term 'unlimited liability'.
- 2 What could a sole trader do to expand his or her business?
- 3 Why is signing a partnership agreement a good idea when forming a partnership?
- 4 Jack and Jill form a partnership which starts to lose money. Jack disappears overseas. What is Jill's liability in relation to the business losses or debts? Why?
- 5 What are the differences between a partnership and a private company?
- 6 What is the difference between a private company and a public company?
- 7 Explain the difference between a CEO and a chairman of the Board of Directors of a company.
- 8 Examine the partnership agreement at right.
 - a How does each partner make a living?
 - b How are the profits shared?
 - c If the business made a profit of \$180 000 in one year, what share does each partner receive?
 - d Suppose Jason Cranswick decides to leave the partnership and go into politics. What options does Anke Finkelstein have? She has a friend who is a solicitor who wants to be a partner. Can she? Why?
 - e After two years of trading, Anke Finkelstein dies suddenly. What options does Jason Cranswick then have in relation to the business?
 - f Why would it be important for both partners to sign and date the agreement?
- 9 What happens to the profits of a company? Do all the profits go to shareholders? Do all shareholders receive the same? Explain.

Partnership Agreement	
Name of business	Finkelstein and Cranswick, Solicitors
Address of Business	29 Landy Drive, Almanac, QLD 4932
Capital invested by each partner	
Anke Finkelstein	\$20 000
Jason Cranswick	\$40 000
Duties and responsibilities	Each partner to share equally in the workload
Profit distribution	Each partner to draw a salary according to hours worked, but profits to be shared according to the capital invested by each partner
Future arrangements	If one partner dies or wishes to leave the partnership, the other partner has the right to run the business as a sole trader or to invite other partners into the business
Signed and dated:	
.....	
.....	



In groups, write your own partnership agreement. Suggested businesses are:

- a medical or dental practice
- a home improvement business
- a shop or café
- any skilled trade businesses (such as electricians, carpenters, computer technicians).

Use the sample partnership agreement above as a guide. Remember that members of the partnership do not have to have equal capital investment or duties and responsibilities. Also note that a partnership can have more than two people (in fact up to 20).

4 Crazy John's: A company profile....

Many businesses start out as small sole traders. But if they are highly successful, they can become companies. You don't have to have a large business to form a company, but there are some procedures which must be followed.

FORMING A COMPANY

Some important things to remember about a company are listed below.

- A company is created by law.
- It exists in its own right and is separate from the owners.
- Owners of a company are called shareholders.
- Liability (debt) is limited to the money contributed by shareholders.

Crazy John's: A case study

Crazy John's is Australia's largest mobile phone retailer. It is an independently-owned company that was founded in 1991 by John Ilhan. It now has more than 100 stores around Australia and employs over 600 people.

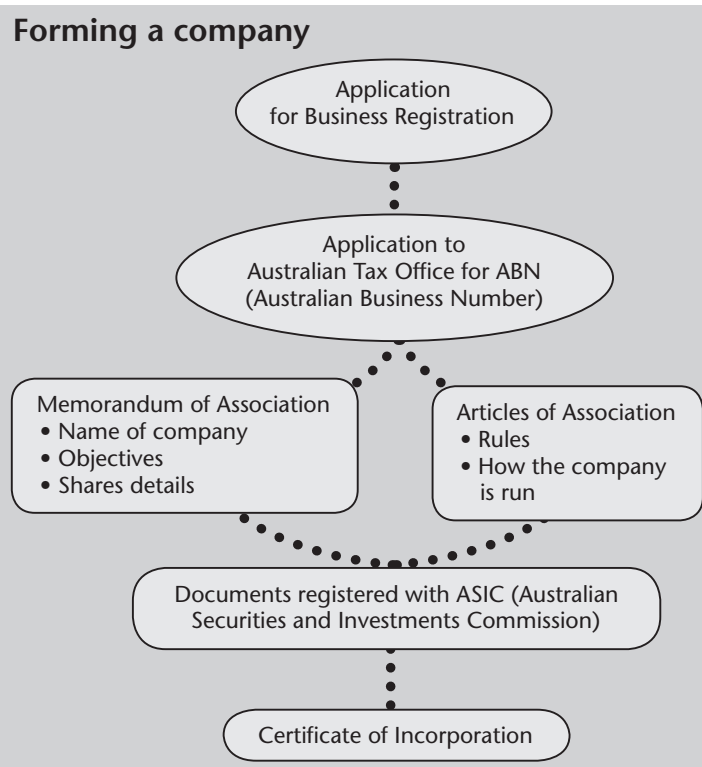
John Ilhan is one of Australia's richest people. His wealth is estimated to be over \$300 million dollars. John's family moved from

Turkey to Melbourne, Australia when he was just three years old. When he started his first Crazy John's mobile phone business in 1991, it was a one-man retail operation based in a small shop in the Melbourne suburb of Brunswick. Because he could not afford to carry a large amount of stock, he would sign up customers first and then collect the mobile phones from a distributor and deliver them to the clients.

So why call it Crazy John's? The name came from John's marketing ideas, which at the time were considered to be crazy. For example, he was the first one to sell a mobile phone for \$1 – other companies were charging \$200 for a phone. He would give away free accessories just to get the business.

Why was the business so successful? John believes he was in the right place at the right time, when the mobile phone market was in its early stages of development. He was also successful in positioning the company as a low-cost, high-service, mobile dealership – John says that building a reputation for providing quality customer service and competitive prices was an important goal from the start. He believes his working class background and lack of formal education did not hold him back, as he was able to see opportunities that others might consider too risky.

Today, Crazy John's is one of the most well known brands in Australia and has. It is also the largest independent retailer of mobile phones, and offers the widest range of phones and associated products in Australia. It has strong ties with Telstra (being a re-seller of Telstra products) and is heavily involved with the world's top mobile phone brands including Nokia, Sony, Ericsson, Motorola and Samsung.



STRANGE BUT TRUE!

John Ilhan has always been concerned about the welfare of children, and so in 2004 he set up The Ilhan Foundation. The Foundation gives money to organisations which help children in the areas of housing, education, family, self development, health and medical research.

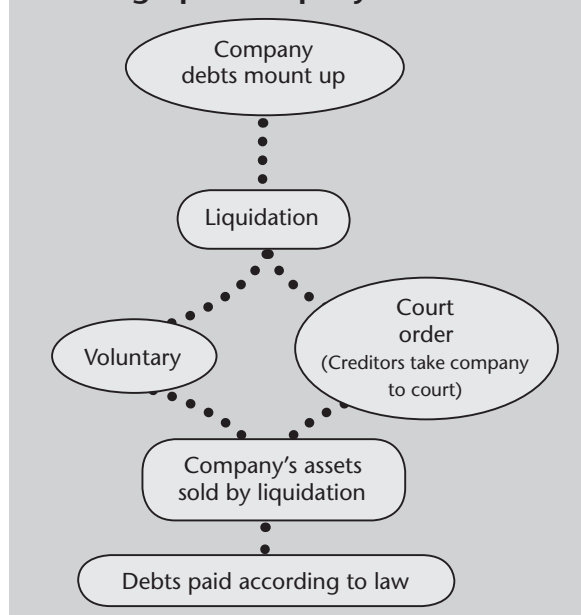
Mad Ron's: A case study

A company's name is very important in business. Sometimes other companies try to cash in on a successful company by using a similar name.

Businessman Ron Bakir founded Crazy Ron's as a mobile phone company. However, his competitor, Crazy John's, sued Bakir's company in 2003 for trademark infringement. Crazy John's eventually won the court case to force Mr Bakir's business to change its name to Mad Ron's. In 2005, Mad Ron's was put into liquidation with \$1.4 million owed to Crazy John's, the Australian Tax Office and others.

Mr Bakir is still paying out creditors from his earlier bankruptcy in 2002, when the company formerly known as Crazy Ron's Holdings went broke with personal guarantees from Mr Bakir and almost no assets. Most of its assets were sold six months earlier to a Bakir-related company, according to liquidator Mark Pearce from Pearce & Heers.

Winding up a company



Some companies, like Mad Ron's, get into financial difficulties. If the company can't trade its way out of debt, it may be liquidated or wound up. The company's assets are seized by a liquidator and sold to pay the company's debts.

Activities

- 1 Describe how Crazy John's started.
- 2 Why was the business so successful?
- 3 Why was the business called Crazy John's?
- 4 Why do you think mobile phones sell so well today?
- 5 Why would close ties with mobile phone manufacturers and service providers be so important to a business like Crazy John's?
- 6 Is a good formal education necessary to be a successful businessperson? Explain your answer.
- 7 What personal qualities do you think John Ilhan demonstrated as a successful businessperson?
- 8 What do you think motivated Ron Bakir's choice of name for his business?
- 9 Why wasn't this name acceptable?
- 10 What happened to the company Mad Ron's? Why?
- 11 Why might a small business form a company? What advantages are there for the owners?
- 12 Imagine that you are a sole trader selling bottles of orange juice. You have been very successful so you decide to form a company. Outline the steps you need to take to do this.
- 13 Imagine that after two years your orange juice company got into serious debt. Describe how your company might be wound up.

5 Buying an established business

If you want to go into business, there are many different opportunities for you to choose from. You can buy an established business or start a business of your own.

Below is a checklist of things to consider when thinking of buying an established business.

- ☐ Consider the type of business you are interested in buying.
- ☐ Check newspapers and the Internet for businesses for sale.
- ☐ Check the details of the business.
- ☐ Check that the asking price is within your price range.
- ☐ Consider buying into a franchise.

Selecting business opportunities

Establish a new business



Buy into a franchise

Buy an established business

Sample list of business categories to:

- | | | | |
|-----------------------|---------------------------|------------------------------|--------------------------------|
| • Accounting practice | • Childcare/ kindergarten | • General store/ supermarket | • Nursery/florist |
| • Auto repairs | • Computer services | • Hairdresser/ beauty salon | • Retail store (e.g. clothing) |
| • Bakery | • Consultancy | • Manufacturing | • Takeaway food |
| • Bed and breakfast | • Dry cleaner/laundry | • Newsagency | • Taxi |
| • Café/restuarant | • Hotel/motel | | |
| • Caravan park | | | |

Going into business: The steps involved

Before you start: examine the pros and cons of being a business owner. Consider statistics on business failure, know the importance of market research and have an understanding of the most common types of business. Know the differences between sole traders, partnerships and companies.

Develop a business plan and a marketing plan: get some tips on how to research and write these plans.

Plan your finances: work out how you can raise the finance to go into business. Find out about financial forecasting, risk management and options for financial assistance. Research tax, insurance and superannuation requirements.

Location of your business: consider where to set up your premises to maximise profits, taking safety issues into consideration.

Employing staff: understand how to recruit and manage staff, including information about legal obligations, dealing with disputes, equal opportunity considerations, health and safety in the workplace and ideas for effectively managing staff. Managing the training and skills development of staff is very important.

Sales and marketing: learn about market research, your competitors, pricing your product, advertising and promotion, public relations, media campaigns, customer relations, payment types and sales techniques. Also investigate the importance of brand names and intellectual property, copyright and patents.

Time for a Sea Change?

Best Bakery on Far North Coast, NSW. Good figures, low rent, long lease, 7 days a week. Long established family business in popular growth area, minutes from world-class surf beaches. Excellent presentation. Ample parking in residential shopping centre. Local and tourist trade. Price \$220,000. Ph 0410 020 038

Beauty/Hairdressing

New beauty and hairdressing salon in East Hills area, brilliant location. No expense spared on fit-out and equip. Long lease. POA to genuine buyers. Phone 0439 526 734

www.business4sale.com.au

BUSINESS TYPE	LOCATION	INFORMATION	SALE PRICE	DETAILS
Beauty and Hairdressing Salon	St Kilda VIC	Newly renovated rooms, full beauty treatments	\$240 000	Click here
Café/Sandwich Bar	Paddington NSW	Good location, popular meeting place	\$95 000	Click here
Newsagency/Lotto branch	Albury NSW	On busy road, fully equipped	\$220 000	Click here
Computers Galore	Franchise Australia-wide	Full management and marketing support	\$50 000	Click here

Activities

- 1 Imagine that you are interested in buying a café business in your town or local suburb.
 - a Outline the information you would like to know about the business before you commit yourself to buying it.
 - b What information would make you decide not to buy the business?
- 2 Study the sample list of business categories on the previous page. Make a list of businesses you are interested in. Beside each one, briefly state the reason for your interest.
- 3 Examine the steps involved in going into business. Outline which ones you believe are the most important and explain why. Draw a flow diagram illustrating all the steps.
- 4 Study the newspaper advertisements of businesses for sale at the bottom of the previous page.
 - a What words or phrases in the advertisements are likely to encourage buyers?
 - b What is meant by POA? Why do you think it is used?
 - c Why do you think both advertisements emphasise the location of the business?
- 5 Study the businesses for sale on the Internet website at the top of this page.
 - a Which business interests you most? Why?
 - b How is the Computers Galore business different from the other four?
 - c What extra information do you expect to find in the 'Click here' links?
 - d What do you notice about the costs of the businesses for sale? Why are some so much more expensive than others?
- 6 Examine the Businesses for Sale section of the daily newspapers (classified section).
 - a What categories of business are for sale?
 - b What words or phrases are used in the advertisements to attract potential buyers?
 - c What abbreviations are used in the advertisements? Select two and explain what they mean.
 - d If you wanted to find out more about a business for sale, how would you make contact? Why?



Use the Internet to search websites on business opportunities and businesses for sale. Select a category of business (or a franchise) which might interest you. Suggested websites: www.franchiseopportunities.com, www.businessforsale.com.au, <http://business.domain.com.au>, www.ebizsurf.com.au

Draw a diagram to show the strategies you would put in place to help the business succeed.

6 Establishing a new business

Starting out on your own in a new business is very challenging. You may succeed or you may fail; you may make a modest living or you may become a millionaire. Often people go into business to sell something original that they have created. Protection for their invention or creation can be provided through copyrights and patents. Copyright and patent holders can sue any person or business who infringes their rights.

IP Australia is a federal government agency responsible for granting rights in patents, trade marks and designs. It is an agency within the Department of Industry, Tourism and Resources, but operates independently.

Scenario 1 – Mikki

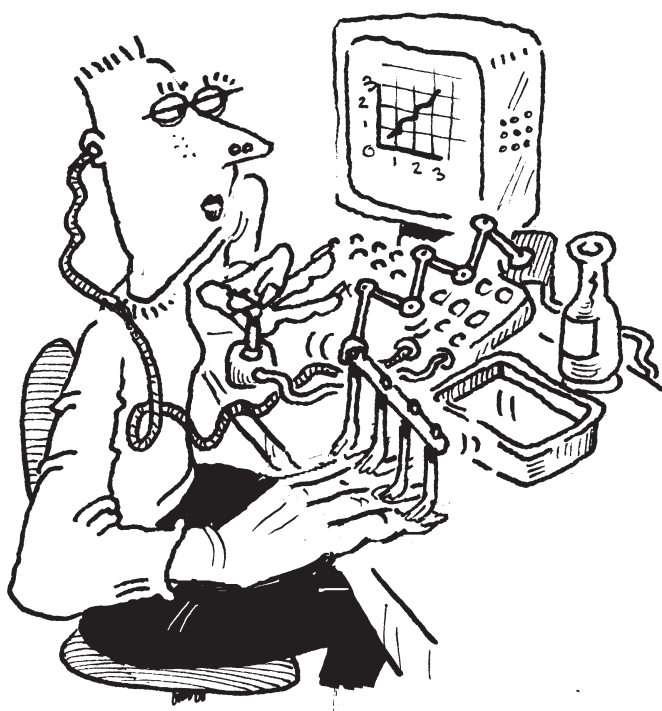
Mikki is a rock musician who has written some new songs. She has performed them at concerts and they have been very popular with the audiences. Mikki decides she wants to make a CD of her songs, and makes arrangements with a recording studio.

As the creator of something which is original, Mikki has intellectual property. She has certain exclusive rights in the same way as a writer or artist does. She can control how her original work is used or sold and is granted copyright over that work. She is entitled to royalties (a form of income) from others using her work. If a radio station wants to play the CD they must obtain permission from the copyright holder and pay royalties to that person.

If Mikki becomes highly successful, she may appoint an agent to act on her behalf, to negotiate contracts, payments, future concerts and CDs. The agent would be paid a commission or a fee.



Scenario 2 – Crazy Guggenheim



Everyone at school reckoned that she was a bit crazy. She was always inventing something and making all sorts of wacky gadgets, and so the name 'Crazy Guggenheim' stuck.

When she left school, Crazy invented a gadget which attracted interest from some technological industries. She decided to take out a patent on her invention, which gave her exclusive rights to make her gadget or sell her invention to others. She began manufacturing her gadget, and registered a trade mark to distinguish it from future copies.

Naming and registering your business

A business name is a name under which a business operates. Registration serves as a means of identifying the owners of the business and is obtained under state or territory legislation.

A company name must be registered under the national Corporations Law administered by the Australian Securities and Investments Commission.

If a company wishes to trade using a name other than the registered company name, it has to register that name as a business name.

A domain name is the Internet address of a business – for example, the address of Internet store Amazon is www.amazon.com. Finding the right domain name can be difficult. A business should have a domain name that matches the registered business name or trade mark, but this name may have been bought by somebody else.

Caution: When you register your business name, be careful that it does not infringe on someone else's trade mark. It is always wise to search the trade mark databases first. IP Australia provides a professional search service called the Business Names Applicant Search Service

Activities

- 1 Explain the meaning of the following terms.

a copyright	d royalty
b patent	e trade mark
c intellectual property	
- 2 You have just invented and designed a new gadget which has received praise on the TV show 'The Inventors'. Draw a mind map outlining the steps you would take to set yourself up in business selling this gadget. (Use the step-by-step guide in the section 'Buying an established business' to help you.) Draw a sketch of your gadget and label it with instructions for its use.
- 3 What might go wrong with your business? How can you guard against this happening?
- 4 How did Mikki protect her intellectual property? What could Mikki do if a rival rock musician played her songs without her permission?
- 5 Mikki finds that her business is in trouble. What might be the causes of this? What advice would you give her to help make her business profitable?
- 6 How did Crazy Guggenheim protect her intellectual property? How is it different from Mikki's intellectual property?
- 7 Another manufacturer decides to copy Crazy's gadget and sell it using a similar trade mark. What can Crazy do to protect her invention?
- 8 Use the Internet to find out about Copyright Agency Limited. What is its function and how does it operate? How is it different from the Australian Copyright Council?
- 9 What is the difference between a business name and a domain name?
- 10 Are business names and company names the same thing? Explain.



In small groups, discuss how you might promote the career of Mikki or Crazy Guggenheim. Assume that they have produced another CD or invention. How would you protect their intellectual property? Record your ideas on a large sheet of paper.

7 Buying into a franchise

A franchise is a legal and commercial relationship between the owner of a trademark, trade name, or advertising symbol and an individual or group wishing to use that identification in a business. The franchise governs the method of conducting business between the two parties. Generally, the franchisor is the one who owns the trademark or symbol and the franchisee is the one who sells goods or services supplied according to the franchisor's quality standards.

Franchising is based on mutual trust between the franchisor and franchisee.

The franchisor:

- provides the business expertise in the form of marketing plans, management guidance, financing assistance, site location, and advertising
- assists in training the franchisee.

The franchisee:

- does all the work at the local level
- provides the entrepreneurial spirit and drive necessary to make the franchise a success.

Examples of franchises:

- McDonalds
- Hungry Jacks
- Subway
- Tupperware
- Century 21 Real Estate

CHAIN GANGS			
	First Australian store	Number of stores	
		2000	2005
Subway	1988	293	824
Starbucks	2000	1	57
Gloria Jeans	1996	21	273
Pizza Hut	1970	368	325
KFC	1968	450	600
McDonald's	1971	701	733
Boost Juice	2000	1	150

The sandwich that ate Melbourne

'Epicure' The Age 18 October 2005

Subway franchises are corporatising lunchtime.

Does this mean choice is sunk?

Melinda Houston reports.

You know you've made it when you feature in an episode of South Park. So when Jared, the slim(mish) spokesman for sandwich franchise Subway recently starred alongside Kenny, Cartman et al, we knew the stores had well and truly penetrated popular consciousness.

And if it seems to you there are an awful lot of them, you're right. In Australia, Subway outlets now outnumber McDonald's franchises (824 to 733), although they're still behind in turnover. There are 12 Subways in the CBD alone, and 144 in the Melbourne metro area. And according to AC Nielsen, Subway is our second-most popular choice for takeaway, right behind Maccas and ahead of Pizza Hut, KFC, Hungry Jacks, and the rest.

The Glen Waverley franchise is owned by Martin and Marusca Cantania. They were early adopters of the Subway system (they bought their first store in 1999) and now own three, with another three in the pipeline. In the mid-1990s the couple decided they wanted to go into business for themselves and started doing their homework. They thought about a cafe, a coffee shop, their own sandwich joint. They looked at Subway. 'We liked the Subway concept but thought, 'It's very US, would it work here?'

STRANGE BUT TRUE!

- ☞ More Australians are going into business for themselves (1,269 000 at the last census, and growing at a rate of 11% every year). Franchises are seen as an attractive option.

'The advantage over a corner store is the brand recognition,' Martin says. 'It's really very simple. Subway's attitude,' he says, 'is to make entrepreneurs out of ordinary people. Subway sets up international conference calls for people who are multi-franchisees so we can talk, share experiences. So each franchisee develops their own infrastructure and business plan but they also have the opportunity to tap into other people's experience.'

Becoming a Subway franchisee is reasonably rigorous. You have to develop your business plan and make an initial site selection, which Subway then approves according to its own demographic studies. There's an interview process. A lease is arranged (the initial capital investment is about \$200,000). There's training, both in-store and in the classroom. And once you open, a 'field consultant' drops by once a month to make sure you're doing everything as you should. Brands such as Subway (or Maccas or Starbucks) live or die by the consistency of stores across cities, countries and international boundaries.

Activities

- 1 Explain what a franchise is. Give two examples of franchises.
- 2 What is the difference between the franchisor and the franchisee?
- 3 Read the newspaper extract 'The sandwich that ate Melbourne'.
 - a What TV show did Subway feature in? Why was this seen as important?
 - b What evidence is there of the success of Subway in Melbourne?
 - c What other food franchises are mentioned in the extract?
 - d What attracted the Cantania family to the Subway franchise?
 - e How does the Subway Company support new franchisees and help them to get started?
 - f What is the significance of consistency in relation to franchise stores throughout the world?
- 4 Look at the table 'Chain Gang'
 - a Which franchise had the first Australian store? In what year?
 - b Which franchise had the greatest percentage growth in the number of stores between 2000 and 2005?
 - c Which franchise had the most Australian stores in 2000? Which had the most in 2005? Suggest reasons for this change.
 - d What does the table say about the popularity of food franchises in Australia? Give details to support your answer.



Make a list of all the franchises you can find in your local area. Arrange them into categories (such as 'food' and 'clothing'). Which is the most popular category? Why?

Conduct a class survey to find out the five most popular food franchises. Present your data as a graph.

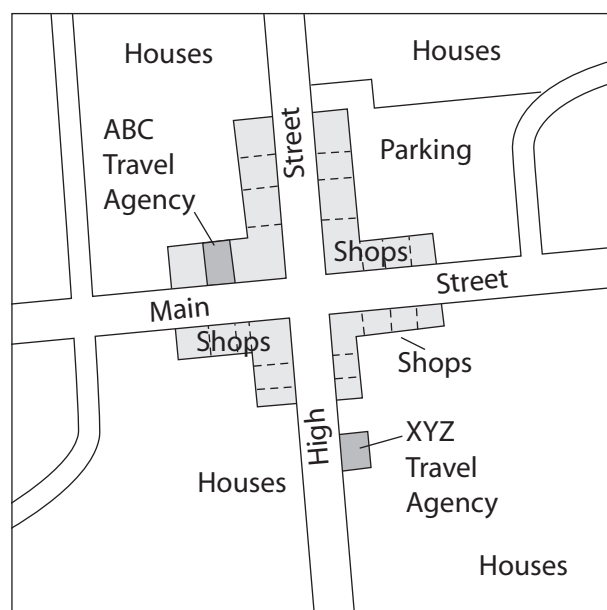
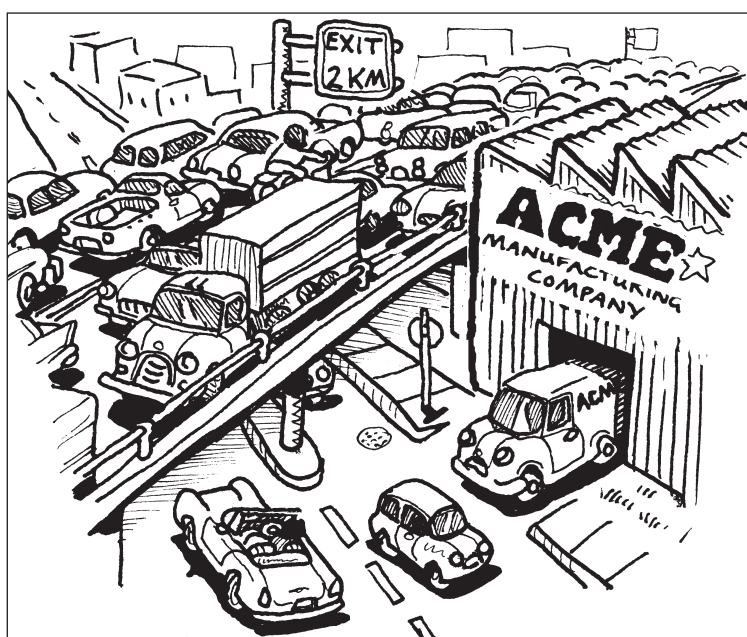
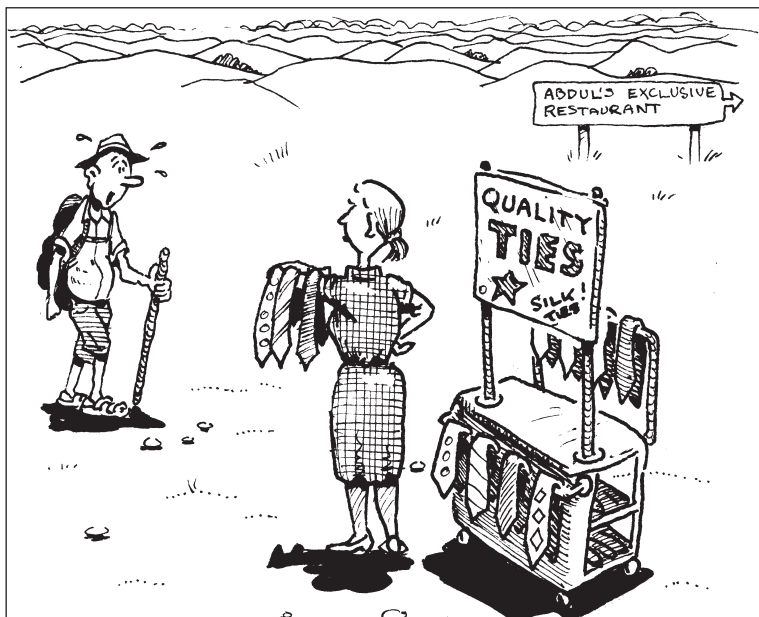
8 Locating a business

The location of your business can be a major contributor to its ultimate success. An important factor to consider before deciding on a final location is the proximity to:

- the customers
- the suppliers
- amenities and services in the area
- other (complementary) businesses in the area
- transport access and parking.

By gathering statistics, you can establish a profile of potential areas. The Australian Bureau of Statistics can supply this information. It might include:

- population, age groups, projections of future growth
- land and housing information, new subdivisions
- employment
- household incomes.



Activities

- 1 Study the first cartoon. What is the main message behind this cartoon? How does it relate to locating a business?
- 2 Study the other three illustrations on the previous page, and the text about location factors. Which location factor or factors are shown in each illustration?
- 3 Huong Mei-Li decides to set up a coffee shop business and is considering two alternative locations. By studying the demographic statistics below, Mei-Li has to decide which location is better suited to her business. Based on an examination of the statistics, which location would you advise? Give reasons to help Mei-Li in the decision.

	Leftsville	Rightsville
Population	6000	4000
People over 65 years age	20%	10%
People under 25 years age	15%	30%
People born overseas	10%	30%
Households with 3 or more children	20%	40%
New housing subdivisions planned	2 (20 blocks)	1 (15 blocks)
Number of coffee shops in the area	2	3

- 4 Paulo Beelders wants to open up a toy shop business and is looking at the same two locations. Assuming there are no toy shops in either place, which one would you recommend? Why?
- 5 For each business below, choose the most important location factor. Present your answers as a table with three columns. Use these column headings: **Business, Location factor, Reason**. In the third column, write your reasons for the location choices.

Businesses: • a butcher • a company exporting electronic equipment • a car parts manufacturer • a hot bread shop • a general store • a fashion clothing store	Location factors: • near an airport • on the corner of a street • in a major regional shopping centre • in a small suburban shopping centre • in a major city centre or CBD • on a major highway
---	--
- 6 Does location always matter? Give examples of businesses which could be located virtually anywhere. without affecting the success of the business. Explain why.
- 7 Give an example of a business where location is of extreme importance. Explain why.



In groups, use the ABS website to research a particular local area with a view to setting up a music shop business.

9 Developing a business plan.....

A well prepared business plan is essential to success in business. You need to know what you are doing and a business plan will help you. It does not have to be complicated.

Some basic questions to ask:

- What business am I in?
- What am I selling?
- Who will I be selling to?
- Why would people want to buy this product?

Important terms

Business plan: the overall plan showing how your business will operate

Mission statement: a short statement of the aims or goals of the business

Marketing plan: how the business is going to promote and sell the product

Action plan: step by step, what is to be done and when

Management plan: how the business is to be organised and run on a day-to-day basis

Financial plan: how the accounting and financial arrangements will be made



A sample business plan

Jack and Jill have decided to go into business selling plants at a stall outside their house. They figure all they have to do is collect seeds and cuttings from friends and establish the plants in pots in a greenhouse in their back yard. When the plants are ready for sale, they will be able to carry them to the front of their house, where they can erect a small table with some advertising signs alerting passers-by to what they have for sale.

Jack and Jill's Plants

BUSINESS PLAN

Name of business: Jack and Jill's Quality Plants

Mission statement: To provide healthy plants to sell to passers-by

Description of business: Growing plants and selling them from a roadside stall

Marketing plan:

- 1 Main form of advertising to be a large sign outside the house
- 2 Consider putting an advertisement in the local newspaper
- 3 Print brochures and put into letter boxes in the area

Financial plan:

- Each partner to put equal amounts of money into the business.
- Each partner to share 50/50 in the profits of the business
- Each partner to share equally in any business losses
- Both partners to agree on any decision to expand the business
- Profit and loss statement to be prepared and analysed every three months
- Review prices of plants every three months

Action plan: Jack to do the advertising. Jill to be responsible for establishing plants

Management plan:

- Both to share in the work of caring and maintaining plants.
- Both to work on the stall according to a roster.
- Both to do a stocktake every three months and consider any changes required to the day-to-day running of the business.



Activities

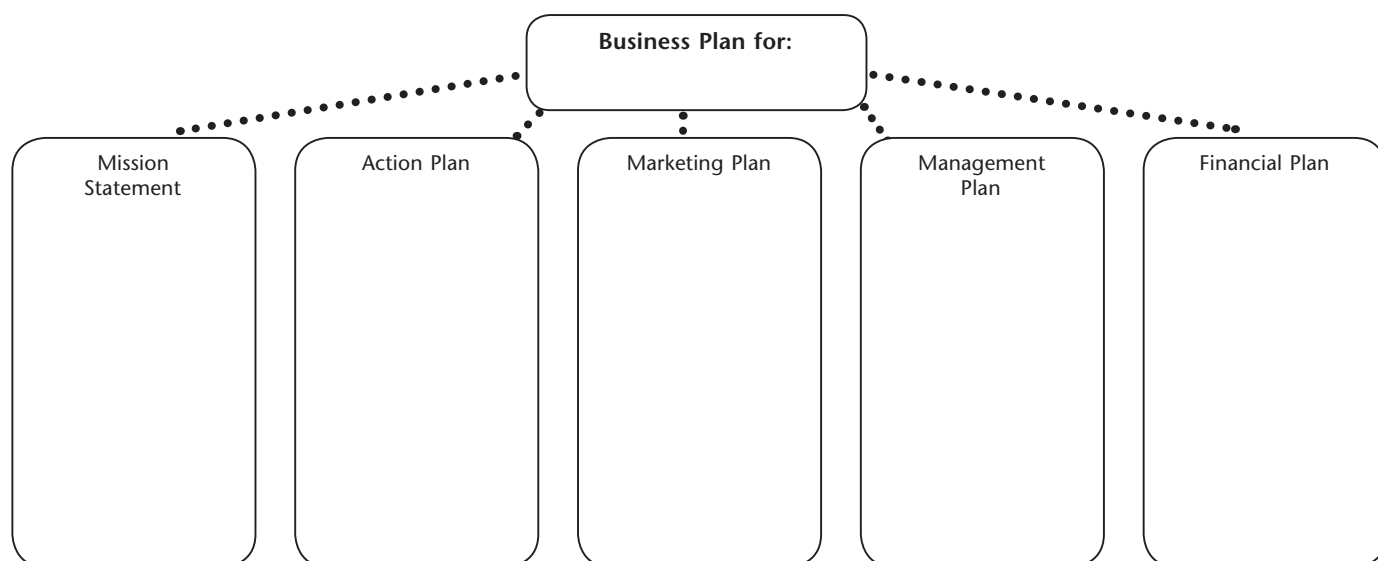
- 1 Why is a business plan so important to the potential success of a business?
- 2 Imagine that you are keen to set up a business selling a new product. Describe briefly the product you have chosen, and give reasons for your answer.
- 3 What are the basic questions you need to ask yourself before preparing a business plan? Why are they important?
- 4 Why do you think Jack and Jill decided to go into business selling plants?
- 5 What was their mission statement? Is a mission statement just a group of words to fill in an empty space, or is it important? Explain your answer.
- 6 Why is a financial plan important? What might be the consequences if a financial plan is not included in a business plan?
- 7 What is the difference between an action plan and a management plan? Refer to Jack and Jill's business in your answer.
- 8 What other strategies could Jack and Jill employ in their marketing plan?
- 9 What other business opportunities do you think are available to younger people wanting to start a business?
- 10 Under what circumstances might a business have to alter its business plan?
- 11 Use Jack and Jill's business as an example. What might happen if Jack became seriously ill?



Write a short story about a business which fails because it did not have a business plan.

In groups, prepare a business plan for a clothing store business. In your business plan consider where you are going to locate your business, how you are going to get started and what tasks different people will be doing. You may wish to present your business plan in the form of a diagram. Use the diagram below to help you.

Interview a local business owner. Find out how he or she set up the business, the difficulties faced and how these problems were resolved.



10 Managing a business.....

Being an effective manager of a business, whether large or small, involves certain skills and abilities. There are many personal qualities required, such as courtesy, ability to relate to people, ability to handle stress, capacity for hard work and willingness to accept responsibility.

Working hard is one thing but it is perhaps more important to work smart. There are some important skills and abilities which are either required or at least desirable.

Creativity – Creativity is one of the most important qualities in a successful businessperson. The whole essence of entrepreneurship is creating a new business. Creative ideas are limited only by one's imagination and creative ability.

Leadership – What is leadership? Is it important in a business? There are different leadership styles. By examining the two emails below, from two different sales managers, you may get a clue as to which leadership style is the most effective.

Memo to all staff

From: Malachi Berkin

To: All staff

Subject: Monthly sales figures

I have just examined the monthly sales figures and they are down on the previous month. I can only conclude that people are not working hard enough. In future I want everyone to cut back on their lunch hours, stop wasting time and get on with the work that has to be done. Failure to obey this directive will lead to severe consequences.

Memo to all staff

From: Helena Polek, Sales manager

To: All staff

Subject: Monthly sales figures

I have just examined the monthly sales figures and they are down on the previous month. I would like to ask staff if they have any ideas as to why sales are down and, more importantly, what suggestions they have for improvements. If anyone would like to see me about this, remember my door is always open.

What leadership is about:

- Being supportive
- Consulting with others
- Organising people and resources to achieve goals
- Setting an example to others
- Suggesting strategies and actions for others to follow

What leadership is not about:

- Ordering or bossing people around
- Speaking loudly
- Insisting on being right all the time
- Forcing people to support you

Organisational skills

Two of the most important organisational skills one can have are:

- **Time management** – when you consider there are 24 hours in a day and you allow some hours for sleeping and eating, the question is how to spend the hours available. This is why schedules, lists and timetables will help you organise your day and your week. Work hard by all means, but work smart. Balancing work and leisure time is also important.
- **Delegation** – Delegation means asking other people to do specific tasks or take responsibility for specific areas of the business. One person cannot physically do everything, so he or she has to delegate. Knowing what to delegate and to whom is an art. You need to know the capacity or ability of the people you are delegating tasks to and the likely success that person will have of doing the task. Supportive supervision is also important. On the next page are examples of two methods of delegation and the likely response from staff.
- **Evaluation** - In managing your business you need to evaluate progress from time to time, to see if there are any problems, bottlenecks or better ways of doing things. You can learn from mistakes and put in place new or better procedures.

Malachi Berkin: Ashley, I want you to work on the marketing plan and revise it completely. I would like this task done within the week.

Ashley Jones: Sorry Mr Berkin, I haven't got time.

Helena Polek: Ashley, you're doing a great job here. I wonder if you would like to work on the marketing plan and do some revision on it. It may take a while so let me know if you need more time to finish it. I would really appreciate it.

Ashley Jones: Certainly Ms Polek, I'm delighted to be given the opportunity to prove myself in this job.

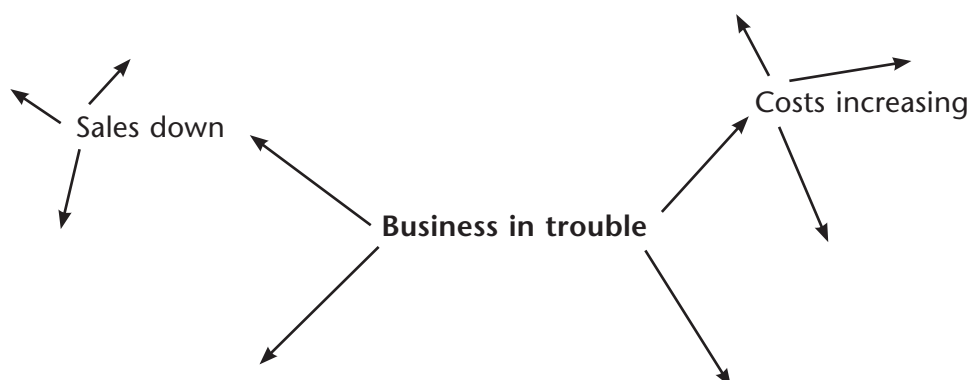
Activities

- 1 What is meant by the term 'creativity' and why is it important in managing a business?
- 2 Examine the two emails written by two different sales managers. Which one do you think demonstrated the better leadership style? Why?
- 3 Write one or two sentences explaining what real leadership is all about.
- 4 Explain, using examples, the concept of 'work hard, work smart'.
- 5 You are running a business and you ask a member of your staff to do a particular task. They reply that they haven't got time. What would you do? What would you have to be careful of?
- 6 As a businessperson, you have three members of staff and you have three tasks to delegate to them. What personal qualities would you be looking for in the persons for each task? Compile a table showing the personal qualities required by a person performing the following tasks
 1 Office receptionist 2 Maintenance and repairs 3 Book-keeping and accounts
- 7 In the scenario above where Mr Berkin is asking Ashley Jones to do some additional work, Ashley says, 'I haven't got time'. Why do you think she said this? Why do you think Ashley agreed to do the work for Ms Polek?



*Your business has run into trouble. Sales are down and costs are increasing. Outline what you would do about it by constructing a mind map of ideas on the diagram below that could help put the business back on track. **Note:** You can do this activity individually or in small groups.*

Mind map



II Designing your own office.....

Regardless of what business you are in, you need a space to work. For many it might be an office. Whether you are a café owner, an electrician or a solicitor you will need some office space to keep basic records (such as appointments or bookings) and financial records (such as cash and credit transactions, profit statements, balance sheets, money owed by customers and money owing to suppliers). An office may be small or large, depending on need, and it may have various items of furniture and equipment (such as those listed below). Office furniture and equipment today tends to be ergonomic in design (to prevent back, leg or arm and wrist injuries).

Furniture

- Desk and chair
- Filing cabinet(s)
- Workspace (bench)
- Shelves
- Comfortable chairs

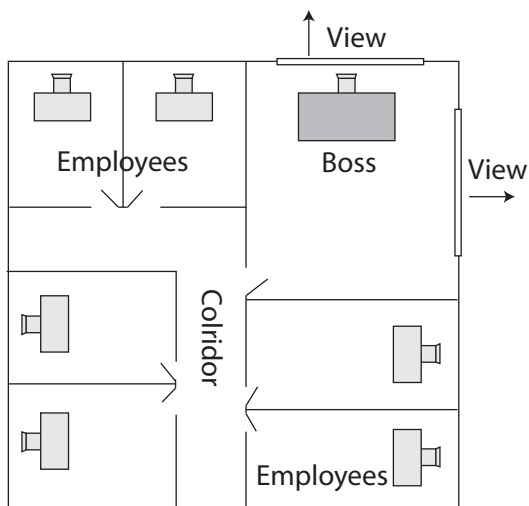
Equipment

- Telephone
- FAX machine
- Computer and/or laptop
- Photocopier

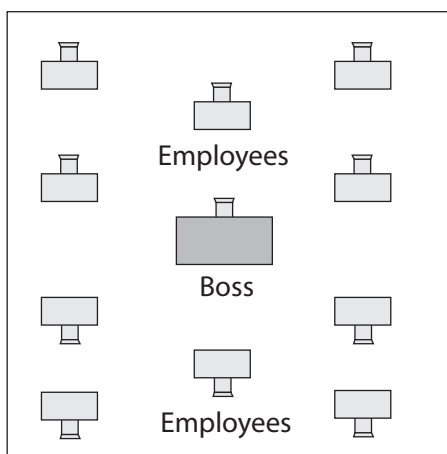
Where a business employs several people in an office, the design of the office is important. Today's modern offices tend to be more open plan, ideally with the supervisor or manager in the centre where they have the greatest access to employees.

Office desks are now called workstations, set up with computer terminal, telephone and other electronic equipment. Some businesses use 'hot desks' for people who work part-time or who work in the field. These people are then able to 'book a desk' for a specific time.

A. Traditional



B. Open plan



Activities

- 1 Why is an office or workplace important to any business?
- 2 What is meant by the term 'ergonomic'? How does it apply to an office or a workstation?
- 3 How might a business suffer if the workstations of its employees are not ergonomically designed?
- 4 What is meant by an 'open plan' office? Why is it important?
- 5 What are 'hot desks'? When might a business use them?
- 6 Imagine that you have gone into business as an agent for a group of famous sports people or entertainers. Your work involves dealing with the media, organising personal appearances, finding new opportunities, and negotiating new contracts and rates of payment. You need an office to work from. This could be a room in your home or you could rent office space in a shopping centre.
 - a Draw a plan of your office, showing the placement of furniture and fittings you would require.
 - b Select three of the items of furniture you think you need, and explain why you need them.
 - c One of the items of furniture you will need is obviously a desk. Draw a plan of your desk, showing which items of equipment you will have on it and where you will position them.
 - d Your desk will probably have at least one drawer. Make a list of the items you would expect to keep in a drawer.
 - e Select three items of equipment you need, and explain briefly their purpose and importance.
- 7 Explain how your office would be different if you went into business as a tradesperson (such as a plumber, carpenter or electrician).
- 8 What are the advantages and disadvantages of working from home as opposed to renting office space in a shopping centre? Answer this question first from the point of view of an agent, and again from the point of view of a tradesperson.

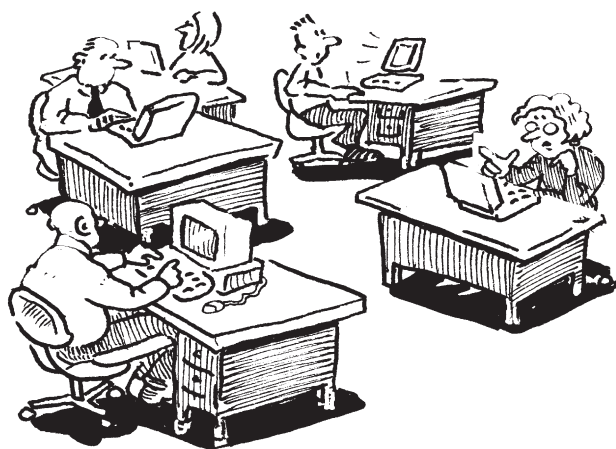


Use the Internet to find out about:

- ergonomic furniture
- the latest office equipment

Prepare a PowerPoint display of the results of your research.

If possible, visit the offices of different types of businesses, such as an accountancy firm, a newspaper and a mechanic. Sketch diagrams of how the offices are set up, and label them with brief descriptions of why they are set up that way. You could even ask for permission to explore the school office and staffroom!



12 Marketing and promoting.....

Marketing is simply a set of strategies to promote, advertise and sell goods and services to consumers. It lets them know what is available. Marketing can involve a whole range of strategies, such as discounts, special offers, promotions, prizes, competitions and free gifts.

Important terms

Target market: a specific group of customers a business is trying to sell to

Market segmentation: dividing up the market into specific sections (such as teenagers, retirees, females aged between 18 and 25)

Niche market: a small selective market (such as organically grown vegetables), for a limited number of customers

The four Ps of marketing:

- **Product** – what are you selling?
- **Price** – what price will you sell it for?
- **Promotion** – how will you let people know about it?
- **Place** – how will you distribute it?

These four Ps can be identified in the story of Amy and Malik below.

Amy and Malik decided to go into business selling snack foods and drinks from a mobile van at a beach suburb. In their marketing plan they first identified the products they were going to sell. This included soft drinks such as Coca Cola and Fanta, tea and coffee, and food items such as donuts, cakes, biscuits, packets of potato chips and peanuts.

The pricing of their products was based on the cost of the goods bought from suppliers, adding a margin for profit and establishing a selling price. They would also have to cover costs such as advertising, electricity, repayments on their van and other costs. The selling price had to be calculated carefully. If it was too high, nobody would buy their food and drinks, especially if there were competitors selling the same or similar food at cheaper prices. If, on the other hand they priced their products too low, they would be in danger of running their business at a loss.

They needed to promote their products so they printed letter-box flyers and distributed them in the area near the beach. They also advertised in the local newspaper and had large signs made for their mobile van. One of these advertised: 'SPECIAL OF THE DAY', which might be 'DONUT AND COFFEE – \$5'. They thought that this might appeal to a particular market segment (such as coffee lovers). They had identified their target market as the people walking to or from the beach.

They realised that the place where they were going to sell their products was very important, so they set up their mobile van where they could intercept the greatest number of potential customers. This was along the boardwalk right beside the beach. They needed local council permission to do this, which they applied for and received.



Activities

- 1 Why is marketing important to the success of a business?
- 2 What is the difference between a target market and a niche market? Give specific examples of each.
- 3 Amy and Malik were selling donuts from their mobile van. They made the following calculations for their weekly costs (which included fixed costs and variable costs):
 - Fixed costs (have to be paid regardless of quantity sold) – \$200
 - Variable costs – raw materials per donut – \$1
 - Average number of donuts sold per week – \$300
 - Price per donut – \$3
 - a Calculate their average weekly profit from the information above.

Sales for the week	\$.....
Less total costs for the week	\$.....
Profit for the week	\$.....
 - b They discover that another shop is selling donuts for \$2.50 each. Can they afford to match this price and still make a profit?
 - c How low would the price of donuts have to go before they would be forced out of business?
 - d The price of raw materials for donuts rises to \$2 per donut. Can they still make a profit if they sell at \$3 a donut? What if they have to sell for \$2.50 per donut?
- 4 How did Amy and Malik promote their products? What other methods could they have used? Name some methods that would not be suitable and explain why.
- 5 You are the marketing manager of a company which manufactures and sells children's toys. You have been asked to form a team of people to design and market a new toy.
 - a Design the new toy.
 - b Describe the toy and how it works.
 - c Draw and label a diagram of the toy.
 - d Give the toy a name.
 - e How are you going to let customers know about your product?
 - f How will you distribute your product?
 - g Draw a flow diagram showing the main forms of distribution.
- 6 As marketing manager, how would you deal with the following situations?
 - a You discover that a rival company has produced a toy very similar to the one you have designed and is selling it for a much cheaper price.
 - b You do some market research and find out that children are not very interested in your toy because it is too hard to operate.
 - c You find out that nobody seems to know about your product; they have never heard of it and don't know anyone who has.



Activities 5 and 6 can be done in groups, where the group becomes the marketing department of a company.

13 Advertising.....

Advertising is part of the marketing and promoting process. It can be informative by providing information about what is available, or it can be persuasive by trying to convince us to go out and buy a particular brand of product. In fact, it can affect our lives quite dramatically. Think of some of the television ads you have seen recently, and the sometimes powerful messages they convey.

Advertising is now big business and large agencies employ artists, photographers, models, copywriters, layout experts and 'creative ideas people' who discuss options and ideas.

Forms of advertising

Advertising can take many forms.



Signs and billboards



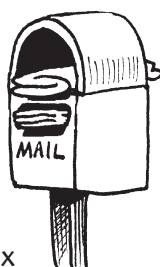
Local newspapers



National newspapers



Mail-order catalogues



Letter-box pamphlets



Radio



Television



Promotional functions



The Internet

Activities

- 1 Select a current television commercial or advertisement that you have seen recently and analyse its effectiveness. To do this you need to answer the following questions.
 - a Does the ad use famous or well known people such as actors, TV personalities or sportspeople? How is this effective?
 - b Does the ad use persuasive language? Which particular words or phrases do you think are important to the ad?
 - c How does the ad use colour and/or movement effectively?
 - d Is there humour in the ad, and is this important?
 - e Does the ad use people who are annoying or who speak in a loud or irritating voice? Could this actually be effective? Why?
 - f Are there any other special features in the ad, not mentioned above?
 - g Complete the following sentence: I think the ad for _____ shown on television lately is/is not effective because _____.
- 2 Match the most appropriate form of advertising (from the previous page) with the following products or situations. You may select more than one form for each one.

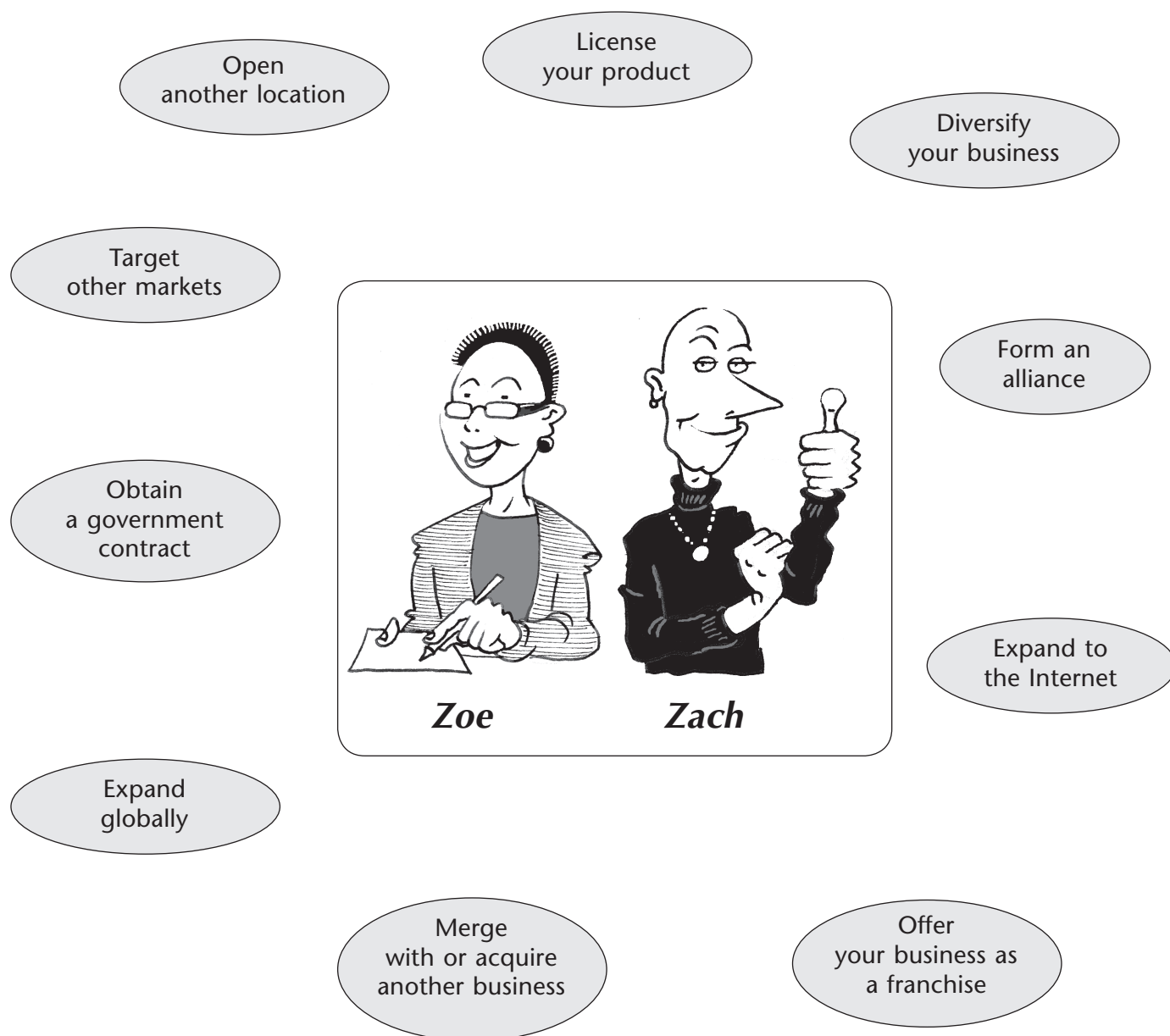
a A can of peaches	d A new model mobile phone	f A national anti-drug campaign
b A second-hand car	e A cruise holiday in the South Pacific	g A new movie at a local theatre
c A special sale at the local supermarket		h A special pizza deal
- 3 Explain the reasons that guided your choices in the above list.
- 4 Examine the Ozzie Fashions sign on the previous page.
 - a The statement 'up to 75% off' could be misleading. Explain how.
 - b Is the promise of free ice-cream likely to persuade consumers? Why?
 - c What is the purpose of the statement 'Hurry while stocks last!'?
- 5 How is advertising done on the Internet? Give an example.
- 6 Find a large advertisement in a daily newspaper.
 - a What groups of people is the advertisement likely to appeal to?
 - b How are words used in the ad?
 - c How is space used in the ad?
 - d Do you think this ad is effective? Why?
- 7 You run a small business selling sports equipment and have asked an advertising agency to present some ideas. The agency produces three alternatives:
 - Leaflets for a letter box drop – \$200 for 1000 leaflets
 - Advertisement in local paper – \$50 per week for a quarter page ad
 - Billboard sign – \$60 a week for advertising space on a bus shelter

Which form of advertising would you choose? You need to weigh up the costs against the relative effectiveness of each form of advertising. Note that there is no correct answer as the effectiveness of advertisements is often a matter of opinion.
- 8 How does advertising try to build up goodwill or brand loyalty? Give examples of well known brands of products which are heavily advertised.
- 9 Working in groups, design an advertising campaign for a new mobile phone with an inbuilt camera and MP3 player. Consider your campaign theme, target market, suitable catchphrases and forms of advertising. Then design a poster to advertise the product in shops or on billboards. Write a jingle, poem or a song to use in advertising your product. Design a TV commercial for national exposure in prime-time viewing. Finally, present your campaign to the class for their assessment.

14 Expanding the business.....

If you have established and developed a successful business, you may wish to expand. You can change the ownership, from sole trader to partnership or company, or there are other ways you can expand.

Zoe and Zach started a business selling packaged food in the Melbourne suburb of Fitzroy. They prepared packs of frozen pasta dishes for sale. Their target market was busy people who would use their microwave ovens to heat a quick instant meal when they got home from work. Their business prospered and they made enough money to consider expanding. If success continued, they knew they could form a company by selling shares. This could be a private company (of friends and business associates) or a public company which would be listed on the Australian Stock Exchange and in which members of the public could buy shares. The company might be called Z Foods Limited. The diagram below shows some other options available.



Problems of expansion

Having a business grow rapidly might be appealing, but there are some aspects to consider.

- Many people have started out well, grown too quickly and then found that they have lost control of the management of the business. It has become too big and has overwhelmed them.
- A larger business may mean longer hours and more worry.

Activities

- 1 You have been asked by Zoe and Zach to advise them on the best ways to expand their business.
 - a What would you tell them about the advantages and disadvantages of opening up another location for their business? Should they concentrate on Melbourne, or open up in Sydney? What about other capital cities?
 - b How would you suggest they protect their 'intellectual property rights'?
 - c They have considered selling their produce to a local restaurant. What other businesses could they form an alliance with for mutual benefit?
 - d What other markets could they target?
 - e How might they diversify their own products? What suggestions would you make?
 - f Is merging with another food packaging company, or acquiring one, a good idea? What would they need to know before doing this?
 - g When would offering to sell franchises be appropriate? What would they be able to offer new franchisees?
 - h Would you advise them to expand globally and export their products? Explain the circumstances when this action might be appropriate.
- 2 What problems could you foresee for Zoe and Zach if they attempt to expand their business?
- 3 Diversifying your business is one way of expanding. If you had a business selling CD players, what else could you sell to complement your sales and even expand them? Why?
- 4 A hi-fi business forms an alliance with an electrical business for their mutual benefit. Explain how this mutual benefit works.
- 5 Name two other related businesses which would also profit from forming an alliance. Explain how they would benefit.
- 6 Would a business necessarily be disadvantaged if it had no Internet link? Explain.
- 7 How would a business profit from winning a government contract for the supply of its products? Could Zoe and Zach's business win a government contract? How?
- 8 Many wineries in Australia have started out small and have grown as a result of strong export sales. Explain the likely reasons for this.



Write a short story or draw a comic strip about a person who goes into business and discovers that the more the business expands, the unhappier he or she becomes.

15 Risk management.....

Managing a business is always a risk. Some businesses start well and then go through difficult times. Others start slowly and then experience success. Many fail after less than one year, while some last longer. Some people actually go out of business only to start up again and perhaps succeed. There is plenty of evidence of people who have gone into business and the venture has not been successful. Success and failure are part of the scene.

STRANGE BUT TRUE!

- ✎ In June 2004, 33.5% of small businesses had been in operation with the current owner for 10 years or more. In 2004, there were 1,269,000 small businesses operating in Australia.

John Symond and Aussie Home Loans: A case study

John Symond started out as a solicitor. He spent 15 years doing conveyancing (property) work and became very successful. In 1984 he branched into lending to property developers, but by 1991 his business had collapsed because of falling property prices during the recession. In 1992, John Symond launched a new business based around buying homes.

As the founder of Aussie Home Loans, John Symond is now worth over \$470 million and has 1000 staff working for him. Aussie Home Loans has \$17 billion in home loans and is the leading non-bank lender in Australia.

The case study of John Symond is an example of a businessperson who experienced success, then failure and success again. One reason for his success is that he was prepared to take risks, though this is no guarantee that a business will succeed.

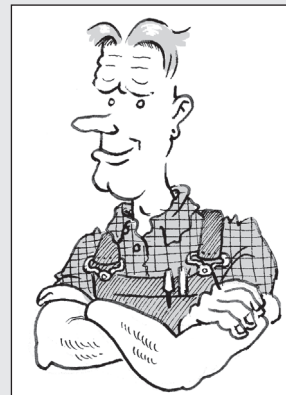
Business risks

There are many reasons for a business to fail. The sample case studies described below provide a cross section of the types of risks that a business can face. They show theft or fraud, natural disasters, changes in regulations, luck, economic downturn or just plain bad management.

Indira Towmey began a nursery business selling plants, flowers, herbs and gardening supplies. She was doing very well until a fierce thunderstorm struck one night. Large hailstones smashed her glasshouses, destroying all of her newly blooming flowers. Most of her pot plants, which had been stored out in the open, were ruined.



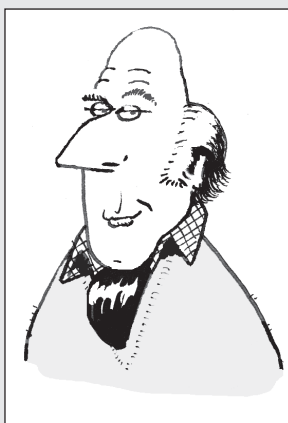
Frank Sparkes had an electrical business which was going well. He hired an assistant to help him cope with the extra workload. Not long after, he noticed that although there were plenty of clients and business was booming, his business bank balance was low. He had trusted his assistant to do the banking each Friday. He checked his books and discovered that the bank deposits did not reflect the paper work.



Tarum Truffle started out in business selling sweets. He made them himself and built up a good customer base. One day he heard a knock on the door. It was a health inspector who asked to see how he made the sweets. The health inspector promptly informed Tarum that his equipment and cooking methods did not meet the new health regulations. He was forced to close his business.



Dave Drudge bought a newsagency business and employed three people to help in the shop, and one person to deliver the morning papers. He received many complaints from customers who claimed their papers were delivered too late or not at all. Other customers at the shop complained about the rudeness of staff. Dave didn't do anything about these complaints. Eventually he went out of business.



Tania Murillo had a service station business selling petrol and other car products. She was making a modest living with profits just enough to keep her going. When the price of petrol increased dramatically, she noticed that her regular customers didn't seem to visit her service station any more. People turned to public transport and she was left facing big losses.



Activities

- 1 Why is managing a business considered to be a risk? What are the risks?
- 2 Can people fail in a business and then succeed? How?
- 3 Explain why John Symond's early business venture failed. How was he able to turn failure into success?
- 4 What is the success rate of small businesses in terms of the percentage which last 10 years or more?
- 5 Read the five case studies. Complete the following tasks for each one.
 - a Give the reasons for the problems encountered by the business.
 - b Suggest remedies for the problems.
 - c Estimate the likelihood of success.
- 6 Write your own story (about one page) about a person who goes into business, succeeds and then goes through a bad time. The business could be a café, a shop, a skilled trade business or a profession (such as a solicitor, dentist or accountant). Consider reasons for the problems the business faces. Complete your story with an indication as to whether the business ultimately succeeds or fails and why.



Obtain copies of the Yellow Pages telephone directory for your local area over two successive years. Check out the small businesses which no longer appear in the more recent edition. You can do a random survey of businesses and calculate a percentage failure rate. You could choose a category, such as plumbers or restaurants, or mix up several categories.

16 Doing business on the Internet.....

The growth of the Internet has been spectacular over the last ten years and has changed our lives in more ways than we imagine. It has changed the way businesses operate and the way consumers behave. Buying and selling online, for example, has grown remarkably in recent times. Many business-to-business transactions are also done via the Internet.

Buying online

The Internet has created a huge marketplace for goods and services. Buying goods online has become very popular, as more companies offer online buying services. You can even sell goods online through websites like eBay, via a bidding system which puts buyers and sellers in touch with each other.

Nudie juice: A case study

Naked ambition

Sydney Morning Herald, Enterprise
17 August 2004

The founder of nudie is ready to squeeze all he can out of his cute and catchy brand name.

Tim Pethick, former accountant, management consultant, restaurant owner, advertising director and chief executive, is now the man behind nudie.

Nudie fruit juices have been on the shelves for just over 18 months and even Pethick is amazed by how quickly his branding experiment has caught on.

Citing reasons for nudie's success, Pethick says: 'It's the name, which is different and not one you'd normally expect to be associated with a juice; it's the colour, it's the characters, it's the cheeky tone of voice we have on the labels and in our copy. All the elements come together to make the whole. And I think we're very lucky to have all the right elements.'

But having all the right elements requires much more than luck. There has been some very careful planning behind nudie.

'Primarily, what nudie is about is a different approach to building a brand. I don't think brands are built very well in this country,' says Pethick, who has worked for a number of years in the United States and the United Kingdom.

Building a dialogue with consumers is central to the nudie brand proposition, and the Internet has played an instrumental role in this. 'We put our web address on everything so people always have a place to go if they want to know more. Because we don't advertise, people first discover nudie on a fridge shelf or someone tells them about it. When you hear about it, you want to know more and the web is the first place people go to learn more. So they start this process of becoming involved with the brand.

For the 10 years before starting nudie, Pethick was employed in corporate roles investigating how to use technology to change the underlying structure of a business. 'The Internet has become incredibly important. For many businesses – including ours – the Internet is now like a front door to the business,' says Tall Tim, as he is known on the website. 'And more importantly, given that the nudie

TSANG TOY COMPANY

ONLINE ORDER FORM

First name

Last name

Address

Street no. and name

City

State

Postcode

Country

Phone number

Email

Click the boxes of the items you wish to purchase.

Big Battleships \$35.99

The Dolly Game..... \$17.50

Action Man..... \$9.99

Princess Make-up Kit..... \$24.99

Interactive Tennis..... \$49.99

Clear form

Submit order

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Living & Work Literacy Book 3

brand is all about a dialogue with consumers, the web is the most obvious place where consumers can interact directly.'

'Nudie addicts' can post notes, watch cartoons, read nudie news and participate in a variety of interactive activities. 'We like to have conversations with our consumers.'

Despite the company's strong emphasis on technology, its product development involves little more than Pethick in his kitchen with fresh fruit – 'from the corner store' – and a blender.

Pethick, who borrowed the fresh fruit in a bottle idea from a company in the US, says a good product is paramount to success.

STRANGE BUT TRUE!

- ☞ Over 10% of adults in Australia purchase goods and services for their own private use via the Internet.
- ☞ Over 14% of adults use the Internet to pay bills or transfer funds.
- ☞ From 1998 to 2000, the percentage of small businesses using the Internet increased from 32% to 65%.

Online banking

Online banking has grown enormously in recent years as it not only allows you to view your account balances online but it now you can pay bills using the bank's BPay system, transfer funds from one account to another, or even to the account of a different person at a different bank.

Activities

- 1 How might a business benefit from having its own website?
- 2 What evidence is there to indicate the growth of the Internet in buying and selling goods and services?
- 3 What is online banking? What benefits does it provide for
 - a businesses?
 - b consumers?
- 4 When might a business want to contact another business via the Internet?
- 5
 - a Use the order form on the previous page to submit an order to the Tsang Toy company for goods advertised for sale.
 - b Explain the function of the two buttons 'Clear Form' and 'Submit Order'.
- 6 Read the newspaper extract about nudie juices.
 - a How does the company make use of the Internet?
 - b What specific activities does the company's website encourage consumers to be involved in? Why?
 - c Why do you think the founder used the name 'nudie'?
 - d What is meant by the phrase 'building a brand'? How does it apply to this company?
 - e Visit the nudie juice website at www.nudie.com.au and look at the ways in which the company uses the Internet to advertise its products. How effective do you think their Internet use is compared to other advertising forms?
- 7 Give the meaning of the following terms. (You could use an Internet search engine to help.)
 - a 24/7
 - b an ISP
 - c HTML
 - d URL

17 Keeping records.....

It is very important for businesses to keep accurate records of all financial transactions. A business needs to know the following.

- Is the price right for the products they sell?
- What is the business's financial situation in relation to assets and liabilities?
- Is the business making money?
- How much does the business owe to others?
- How much is owed to the business by others?
- How much available cash does the business have to pay immediate bills?
- How much tax does the business owe?

Many businesses fail as a result of poor financial planning and recording. A good accountant can supervise the financial transactions and make suggestions, and a business can also request an auditor (someone outside the business) to examine accounts on an official basis.

Financial transactions involve forms or documents, such as tax invoices, statements, cheques and receipts. In the past, book-keeping involved journals which recorded daily transactions, and ledgers which grouped transactions into specific accounts. Businesses today increasingly use computer technology to manage and analyse their accounts, and make particular use of spreadsheets which can do a great variety of calculations automatically.

Calculating your true financial situation

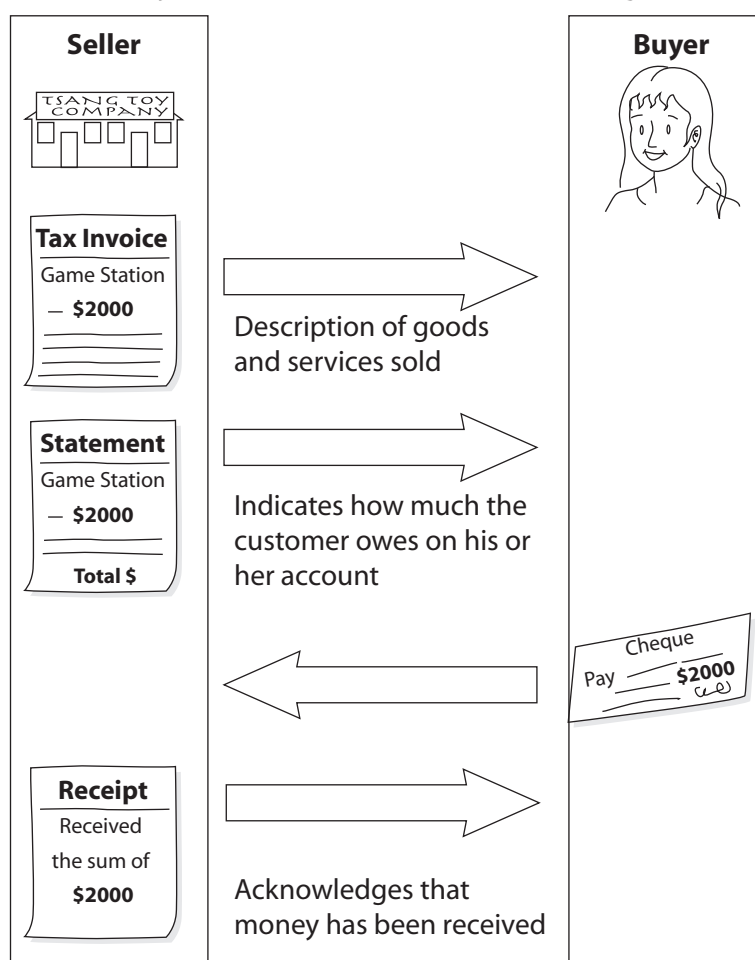
A business must always know its true financial situation so that it can make decisions about the future. Part of this involves the communication between a business and its bank, and reconciling the bank balances. This is done via a Bank Reconciliation Statement (see example below).

The Tsang Toy Company believes that it has an \$1800 balance in its Cash Book. The company's bank, ABZ Bank, believes the company has \$2000. Why the difference? There is a time lag between when transactions are made and when they are recorded in the company's records and in the bank's records. The differences generally amount to:

- last minute deposits made by the company into their bank account (in the example below, 'Add deposits 29 July \$500')
- unpresented cheques, where some cheques written by the company have not found their way to the bank. Perhaps some payees are slow in depositing their cheques (in the example below, 'Less unpresented cheques \$700')

Bank Reconciliation Statement of the Tsang Toy Company as at 31st July 2006

Balance as per bank statement	2000
Add deposits on 29 July	<u>500</u>
	2500
Less unpresented cheques	<u>-700</u>
Balance as per cash book	1800



Activities

- 1 Why is keeping accurate records of financial transactions so important to a business?
- 2 Guntur Rais runs a small business, but he is very careless. Any money he receives from his business goes straight into his pocket. When he needs some money for a holiday, he just takes it out of the same pocket. What is wrong with Guntur doing this, especially if he is a sole trader? What advice would you give him?
- 3 Match the following terms with the definitions below.
accountant, auditor, cheque, credit note, tax invoice, ledger, spreadsheet, statement, receipt, petty cash voucher, creditor, journal
 - a A document issued to a customer to indicate goods supplied and the GST that applies
 - b A person who officially examines and verifies financial records
 - c A document issued to a customer when goods are returned
 - d A computer program used to record financial transactions
 - e A document issued to acknowledge that payment has been made
 - f A document used to record small cash purchases
 - g A person who supervises the finances of a business
 - h A daily record of financial transactions
 - i A document where transactions are posted into particular accounts
 - j A document issued to a customer to indicate transactions and the amount owing
 - k An order by a customer to a bank to pay a certain sum of money
 - l A person or organisation to whom money is owed
- 4 What is a bank reconciliation statement?
- 5 Prepare bank reconciliation statements for the following businesses:
 - a Ivan Pullem, dentist, had a balance of \$25 000 in his Cash Book on 31st March, but when he checked the bank statement he found a balance of \$28 000. There were two unrepresented cheques, one for \$3500 and one for \$1500. Calculate the deposits made on 30th March.
 - b Brigid Maguire, solicitor, checked her bank statement and found it had \$40 000. She noticed that a deposit made on 28th November of \$3000 was not shown on the bank statement. Her Cash Book indicated a balance of \$41 000. Calculate the value of the unrepresented cheques.
 - c Bill Sparkes, electrician, examined his bank statement to find the following:
 Balance as per bank statement – \$4250.
 Unrepresented cheques – \$400
 Deposits made at end of month – \$120
 What should his cash book balance have been when he received the bank statement?



Working in a small group, imagine you are accountants for a computer software company. When you examine the books, you find the company owes a considerable amount of money. There are huge advertising bills which have not been paid and customers who owe money have not been contacted with reminders. You also find very little money in the company's cashbook. Discuss the nature of the problems, the strategies you might suggest to fix these problems, and any other financial problems which may be evident in the company's books. Record your thoughts on a large sheet of paper for display.

18 Profit and loss statements.....

If you are running a business you will want to know if you are making a profit. This means that you want to know if your income is greater than your expenses, and by how much. A profit and loss statement, sometimes called a revenue statement, will provide this information. The statement is for a period of time, for example 3 months, 6 months or 12 months.

Profit and loss statements are set out in a particular way. The main elements are:

- sales – the income from the business will come mainly from sales
- expenses – the costs incurred by the business in its operation (such as wages, electricity, rent)
- gross profit – this is calculated by deducting the cost of the goods sold from the sales figure. It includes purchases as well as opening and closing stock (see example at right). To calculate the cost of goods sold, add purchases to opening stock and then deduct closing stock (unsold stock)
- net profit – this is the actual amount that the business makes for its owner, although the owner will have to pay tax on this amount.

Profit and Loss Statement of Tsang Toy Company for 3 months ending 30 June 2006			
Sales			\$120 000
Cost of goods sold			
Opening stock	\$7 000		
Plus: Purchases	<u>\$8 000</u>		
		\$15 000	
Less closing stock	<u>\$5 000</u>		
		\$10 000	<u>-\$10 000</u>
Gross Profit			\$110 000
Operating Expenses			
Wages	\$12 000		
Rent	\$10 000		
Interest	\$5 000		
Telephone	\$4 000		
Motor vehicle expenses	\$6 000		
Insurance	\$2 000		
Other expenses	<u>\$3 000</u>		
Total Expenses	\$42 000	<u>-\$42 000</u>	
Net Profit			\$68 000
Sales – Cost of Goods sold = Gross Profit – Expenses = Net Profit			

Activities

- 1 What is the purpose of a profit and loss statement?
- 2 Why is a profit and loss statement for a period of time and not at a particular date?
- 3 What is the basic formula for Gross Profit?
- 4 Explain what is meant by: **a** opening stock **b** closing stock **c** cost of goods sold.
- 5 What is the difference between gross profit and net profit?
- 6 In the example above, what was the Tsang Toy Company's gross profit and net profit? What accounted for the difference?
- 7 Prepare profit and loss statements for the Action Jackson Company:

Sales	\$45 000	Rent	\$3 000
Purchases	\$30 000	Advertising	\$2 000
Opening stock	\$5 000	Telephone	\$500
Closing stock	\$8 000	Insurance	\$500
Wages	\$4 000		
- 8 What major differences do you notice between the Profit and Loss Statements for the Action Jackson Company and the Tsang Toy Company? In particular, note:
 - a the size of the net profit
 - b the operating expenses
 - c the relationship between opening and closing stock.
- 9 Assuming everything else stayed the same, what would the sales figure have to fall to before the Tsang Toy Company experienced a net loss?

19 Balance sheets.....

As a businessperson you may need to know what the state of your finances is at a particular point in time or on a particular date. Balance sheets are used for this purpose. They weigh up the assets, the liabilities and the owner's equity in the business. The owner, or owners, have put money into the business and they therefore have a claim on that. After a business has been trading for a period of time, the amount the business owes the owner(s) will vary depending on whether profits or losses have been made.

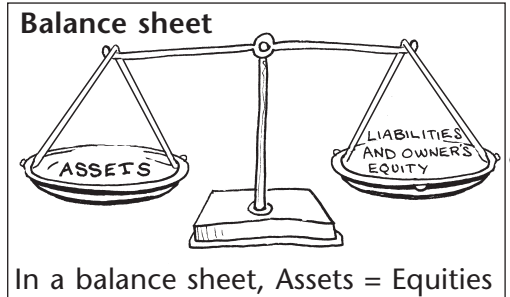
Important terms

Assets – things that a business owns, such as a truck

Liabilities – what a business owes to others, such as a debt for goods bought on credit

Owner's Equity – what the business owes the owner or owners

A sample balance sheet is shown below:



Balance Sheet of Tsang Toy Company as at 30 June 2006

Assets		Equities	
Building	\$15 000	Owner's Equity	\$28 000
Machinery	\$10 000	Liabilities	
Motor vehicles	\$30 000	Big Jim's Plastics	\$30 000
Cash in the Bank	\$5 000	Bank Loan	<u>\$10 000</u>
Stock of unsold goods	<u>\$8 000</u>		
	\$68 000		\$68 000

The business owns these assets:

- The factory building worth \$15 000
- Machinery worth \$10 000
- Two trucks valued at \$30 000
- \$5000 in the bank
- \$8000 worth of unsold toys.

The business owes these amounts:

- Dasari's Plastics company \$30 000 for raw materials purchased on credit and not yet paid for
- A bank loan of \$10 000

By subtracting liabilities from assets, you get the value of the business to its owners, which is \$28 000 on 30 June 2006.

If Tsang Yuan, the owner of the Tsang's Toy Company, decides to take \$1000 out of the business for his own use, the balance sheet would still balance. The owner's equity would now be \$27 000 and cash in the bank would be \$4000.

Activities

- 1 What is a balance sheet and what is its purpose?
- 2 Explain how a balance sheet is different from a profit and loss statement.
- 3 What is owner's equity? How is it calculated?
- 4 Draw up a balance sheet after Tsang Yuan has withdrawn the \$1000 from the business. What do you notice about the totals? Does this matter?
- 5 Make a list of assets and liabilities typical of a small business.
- 6 The XPT company has assets of \$20 000 and liabilities of \$15 000. What is the owner's equity?
- 7 Scott has a plumbing business in which he calculates his owner's equity as \$16 000. If his liabilities were \$14 000, what would be his assets? Set out your calculation in the form of a simple balance sheet.
- 8 Prepare a balance sheet for the Action Jackson Company from the following information:
Cash in the bank – \$24 000; Stock – \$5 000; Motor vehicles – \$25 000; Bank loan – \$12 000; Factory and premises – \$20 000; Debt owing to JD Wholesalers – \$6 000
- 9 What major differences do you notice between the balance sheets for the Tsang Toy Company and the Action Jackson Company? In particular, note the relative size of assets, liabilities and owner's equity along with any other points of difference.

20 Managing finances

Tsang Yuan, the owner of the Tsang Toy Company, wanted to know how he was going in his business and whether he was achieving the goals he set for himself. He realised that his record keeping was important but he wanted to analyse what was happening. He had checked his profit and loss statements and balance sheets but there were other checks he could make. He could check on the accounts receivable and accounts payable and he could also prepare a cash flow report.



Cash flow reports

These will tell Yuan where cash is coming into the business and where cash is going out. Remember that not all business transactions are cash. Many businesses operate on credit, but these debts need to be recovered. Equally, other businesses would want you as a businessperson to pay your debts on time. Cash flow reports will reflect this movement of cash. Businesses in the past have run into trouble because of cash flow problems. Some adopt unfair tactics, in that they demand payment but don't pay on time themselves. Juggling the cash flow and checking it are very important.

Cash flow report for Tsang Toy Company July–September 2006

Inflow

From sales	\$20 000	
From interest received	\$2 000	\$22 000

Outflow

Wages and salaries	\$8 000	
Telephone	\$4 000	\$12 000

Net change in cash +\$10 000

Cash flow report for Action Jackson Company July–September 2006

Inflow

From sales	\$10 000	
From interest received	\$1 000	\$11 000

Outflow

Wages and salaries	\$8 000	
Rent	\$5 000	
Electricity	\$4 000	\$17 000

Net change in cash - \$6 000

Accounts receivable – This will tell the business owner which customers still have outstanding debts and the amount they owe.

Accounts payable – This tells the business owner what their debts are and how much they will have to pay at some time in the future.

Activities

- 1 What is meant by the following terms?
 - a accounts receivable
 - b accounts payable
 - c cash flow report
- 2 Examine the two cash flow reports on the previous page.
 - a What are the main differences in the two reports?
 - b What is the cash flow situation for the Action Jackson Company?
 - c What would this company need to do to fix the situation?
- 3 Prepare a cash flow report for the Ace Sports Club, based on the following information:
 - Cash sales \$1000
 - Donations received \$100
 - Electricity \$50
 - Cash purchases \$500
- 4 The Tsang Toy Company notices that there are a large number of customers who have bought toys on credit but have not paid for them for over 3 months.
 - a What should the company do?
 - b What might happen if the company doesn't chase up the debts?
 - c How will this show up in the cash flow report?
- 5 The Tsang Toy Company notices that other companies are sending out requests and notices to pay for goods bought on credit. There is a long list of accounts payable. The company has very little cash in the bank and its cash flow reports are not good. What can the company do in this situation?
- 6 Why do companies have to constantly check their accounts receivable and accounts payable?
- 7 How do some companies use unfair tactics when it comes to paying debts?
- 8 Why is it important to check a company's profit and loss statements and balance sheets? What would you be looking for in each case?



In small groups, draw up two sample cash flow reports using fictitious names, one of a successful company and one of a company with a cash flow problem.

STRANGE BUT TRUE!

- ☞ Today many business people use a computerised system of record keeping (such as MYOB – Mind Your Own Business). Not only do these systems use spreadsheets to record transactions, but they can also generate reports which you can analyse.

21 Taxes and the GST

There are different types of taxes which affect individuals and also businesses. Individuals pay income tax based on the income they earn (using the PAYG or Pay As You Go system). A sole trader is an individual taxpayer and is subject to the same income tax rates that would apply to a wage or salary earner. Partnerships are treated in the same way.

Companies, on the other hand, are subject to company tax which is paid by companies based on the profits of the business. The rate of tax is a fixed proportion of the profits earned. The company tax rate was fixed at 30% in 2001 and has not changed.

Tax rates 2005–2006

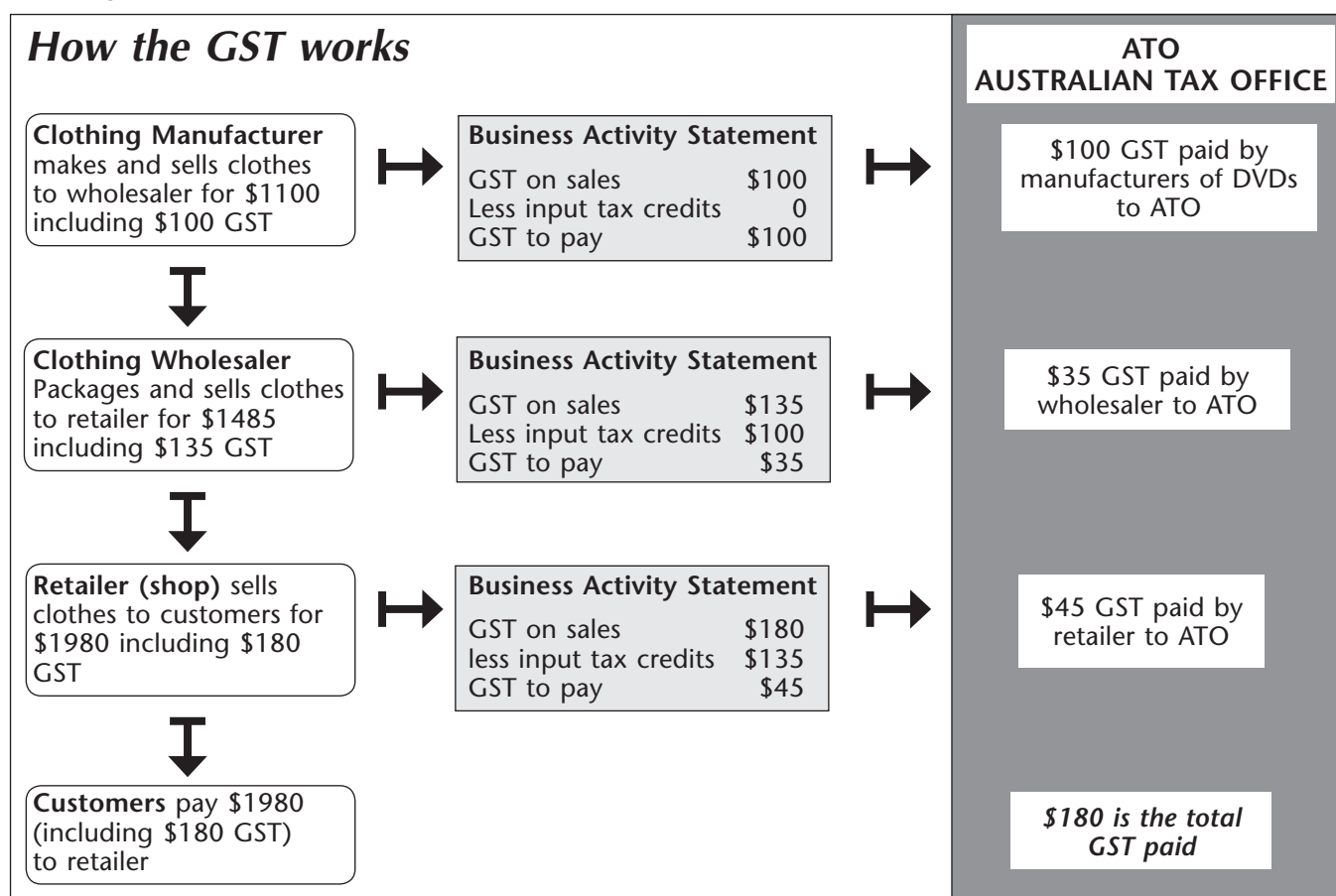
Taxable income	Tax payable
\$0–\$6000	Nil
\$6001–\$21,600	15% of amount over \$6000
\$21,601–\$63,000	\$2,652 plus 30% of amount over \$21,600
\$63,001–\$95,000	\$11,772 plus 42% of amount over \$63,000
Over \$95,001	\$16,182 plus 47% of amount over \$95,000

The GST

The goods and services tax, or GST, is a broad-based tax of 10% on the value of most goods and services consumed in Australia. Some items, such as fresh food, are exempt. The GST is therefore included in the price of most goods and services.

How the GST works

While consumers ultimately pay the GST, businesses have the task of collecting this tax at various stages in the production process. Businesses are required to have an ABN (Australian Business Number) and must be registered for GST with the Australian Tax Office. They also need to use tax invoices when selling goods and services. To do this they fill out a Business Activity Statement (BAS), usually every three months. They can claim tax credits (input tax credits for the GST are included in the price you have to pay for any item for use in your business). Input tax credits are explained in the diagram below.



The Funky Clothing Company has just sold two pairs of jeans to Don Corleone for \$75 each. The company would issue a Tax Invoice. At the end of a three-month period, the company has to complete a Business Activity Statement. (See next page.)

BUSINESS ACTIVITY STATEMENT
Funky Clothing Company

3 months ended 30 June 2006

GST amounts you owe the ATO from sales

Total sales \$55 000
GST on sales (sales divided by 11) \$5 000

GST amounts the ATO owes you from purchases

Total purchases subject to GST \$22 000
GST on purchases
(purchases divided by 11) \$2 000
Net GST payable (or refund due) \$3 000

TAX INVOICE

Funky Clothing Co.
24 High Street, Lowtown
ABN: 32 321 456 789

4 May 2006

To: Don Corleone, Toytown

Qty	Desc. of goods	Price	Total
2	Pair of jeans – daggy	\$75	\$150
	+GST		\$15
TOTAL AMOUNT PAYABLE \$			\$165

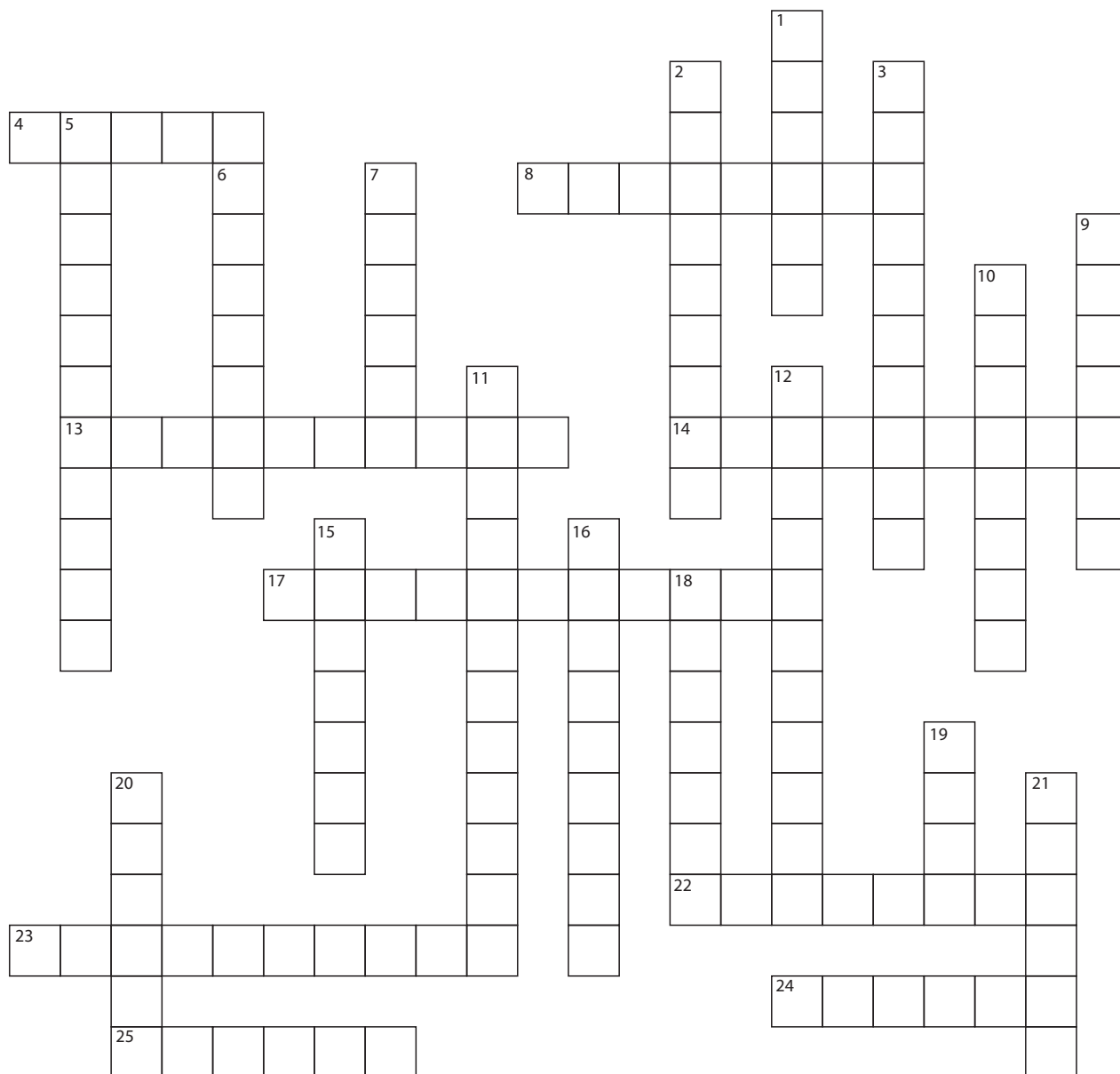
Activities

- 1 What are the taxes which affect businesses? How are they different?
- 2 What is meant by the following?
GST PAYG ABN BAS ATO
- 3 What is the purpose of a Tax Invoice? What does it show?
- 4 Examine the tax invoice for the Funky Clothing Company (above right).
 - a What was the GST amount shown on the Tax Invoice?
 - b What was the total amount payable?
 - c By what number do you divide the total amount payable to arrive at the GST amount payable?
- 5 How do businesses collect the GST? What are input tax credits?
- 6 Who actually pays the GST to the tax office? How does the customer pay?
- 7 Calculate the GST owing (or the refund due) in the following cases.
 - a Punter Sports Store has sales of \$2200 and tax input credits of \$300.
 - b Tinka's Ice Cream Parlour sold \$715 worth of ice creams and had tax input credits of \$50.
- 8 Complete simplified Business Activity Statements from the following information.
 - a Computer Solutions Company had total sales of \$110 000 and total purchases subject to GST of \$66 000.
 - b Zilch Foods had to pay a GST of \$500. If total purchases subject to GST were \$22 000, what was the total sales figure?
- 9 Freda Roam is a travel agent and a sole trader. Last year her taxable income was \$70 000. Using the table of tax rates on the previous page, calculate the amount of income tax Freda would pay.
- 10 If Freda had a bad year and only made a profit of \$5000, how much tax would she pay? Explain why.
- 11 The Funky Clothing Company made a net profit of \$90 000. How much company tax would the company pay?
- 12 What tax advantage would a company have over a sole trader? Note the tax rates which are payable. Would this encourage sole traders and partnerships to form companies? What might prevent them from doing this?



Prepare a Business Activity Statement for the Funky Clothing Company using figures to show how the company could receive a GST refund.

22 Business crossword



Across

- 4 Essential in starting a business
- 8 Money to be paid to the government
- 13 Person who supervises the finances of a business
- 14 Document to indicate amount owing by a customer
- 17 Businesses trying to outsell each other
- 22 Money a business has to pay out
- 23 The owner or part-owner of a business
- 24 Where buying and selling occur
- 25 Ownership of a business

Down

- 1 Something that exists on its own
- 2 Exclusive rights given by one business to another
- 3 Planning, directing and controlling a business
- 5 When a company is wound up
- 6 Person who officially examines and verifies financial records
- 7 Excess of income over expenses
- 9 Money initially invested in a business
- 10 Shareholder of a company who has been elected to the board
- 11 Someone who undertakes to go into business
- 12 Business venture with two or more people and unlimited liability
- 15 A business organisation with limited liability
- 16 Responsibility for business debts
- 18 A document to indicate goods or services supplied
- 19 Excess of expenses over income
- 20 Money received by a business
- 21 Things owned

Selected answers.....

1 GOING INTO BUSINESS

- 1 Wanting to make money, not wanting to work for a boss, wanting to try out new ideas, enjoying taking risks, family or friends also in business
- 2 Considered too risky, not wanting the responsibility, happy to work for wages or a salary, greater security, no family background in business
- 3 Fully qualified tradesperson, had saved money, a keen interest in working for herself.
- 4 TAFE course provided her with formal qualifications and skills to do the job.
- 5 Return to work for wages, or retrain for another job
- 6 Personal savings plus a bank loan
- 7 Quote for jobs, answer telephone, contact clients, keep records, do banking and finances, ordering supplies and doing plumbing work
- 8 She could hire a person to answer phone, keep records, etc.
- 9 She could fail, lose money and go out of business
- 10 Profit
- 11 **a F b T c T d F e F**
- 12 **a** PROPRIETOR – the owner of a business **b** ENTERPRISE – a business, also skills needed to be in business **c** PROFIT – reward for risk-taking, excess of income over expenses **d** CAPITAL – money invested in a business **e** EXPENSES – costs involved in the process of earning money

2 QUALITIES OF A GOOD Businessperson

- 1 **a** A lifelong interest in fixing computers **b** Skills in working with computers, a degree in Internet computing, work experience, family background in business **c** Greater variety of skills and knowledge, working in shifts so someone is always available, mutual assistance in running the business **d** Providing software and hardware advice to small business and home computer users **e** Possible conflict, arguments over workload, jealousy. This did not happen as they were honest with each other **f** Probably all ten although some not so obvious from the extract. Both seemed to be able to work co-operatively and effectively.
- 2 Leadership is about organising people and resources in a supportive and positive way to achieve goals
- 3 Hard work is essential as there is nobody else to do it!
- 4 Some business people can thrive on some stress while others break down. It is important to keep calm and work in an organised way and complete tasks according to priority
- 5 Any example to show how a particular strategy is not leading to sales and so a different strategy is required
- 6 You can be competitive yet still show concern for others. It is a matter of judgment, treating people with respect but still trying to succeed in the business
- 7 If something goes wrong the businessperson as a sole trader must take responsibility
- 8 Courtesy is very important in business as it is in life generally. Customers will appreciate it and be courteous in return
- 9 A business can experience bad luck, such as a natural disaster (tropical cyclone, bushfire, etc.) or good luck in being in the right place at the right time (selling something which becomes increasingly popular)

3 BUSINESS ORGANISATIONS

- 1 The owners of the business are responsible personally for all the debts of the business
- 2 Form a partnership, or a company
- 3 No problems or misunderstandings if something happens to one partner
- 4 Jill is liable to all the debts of the partnership. Partners have unlimited liability
- 5 In a private company, liability is limited to the value of the shares held by the owners. In a partnership, liability is unlimited
- 6 In a private company, shares are held by invited people on a private basis. In a public company shares are owned by any member of the public and can be bought or sold on the stock exchange
- 7 A CEO is the person who runs the company on a day-to-day basis. The Chairman of the Board of Directors represents the Board which in turn represents shareholders
- 8 **a** Working as solicitors in a partnership **b** Profits shared according to capital invested (i.e. Cranswick would be entitled to twice the profits of Finkelstein). Then

each partner is paid a salary according to hours worked **c** Finkelstein \$60 000, Cranswick \$120 000 **d** She can run the business as a sole trader or invite her friend to be a partner. Also Cranswick can be a sleeping partner (if he still has invested the money) and still receive profits but not draw a salary **e** He can operate as a sole trader, find a new partner or close the business down **f** The agreement becomes a legal document and can be tested in court in case of disputes.

- 9 Profits may be distributed to shareholders according to the value of their shares, but some (or all) of the profits may be re-invested in the company, depending on decision of Board of Directors

4 CRAZY JOHN'S: A COMPANY PROFILE

- 1 John Ilhan had a small shop in Melbourne and sold mobile phones at a cheap price
- 2 Good marketing ideas and good salesmanship
- 3 Marketing ideas he used were considered crazy, such as \$1 phones
- 4 They provide people with instant communication and the technology is very advanced, many features such as cameras in phones
- 5 They are part of the chain- from manufacturer to retailer, then service provider who allows customer to use phone
- 6 Education certainly helps, but it is not essential- as John Ilhan had little formal education but great ideas and energy
- 7 Prepared to take risks, hard working, has an understanding of how business works
- 8 An attempt to cash in on a successful company using a similar name
- 9 Breach of trade mark
- 10 Business went into liquidation- money owed to Crazy John's as a result of court case, and money owed to other creditors
- 11 Protection of owners against unlimited liability, also opportunity for business to grow with more shareholders

5 BUYING AN ESTABLISHED BUSINESS

- 1 **a** Past history of business, profit margins, potential problems **b** Low profits or net losses, poor reputation of business
- 3 Develop a business plan, plan finances, develop a marketing plan, decide on a location, recruit staff if required
- 4 **a** Best bakery, long established, in growth area, minutes from beach, ample parking brilliant location, long lease **b** Price On Application **c** Location is an important factor in business success – wrong location can spell failure
- 5 **b** It is a franchise **c** Lease arrangements, past successes (profits), customer base **d** Costs vary as some businesses have greater chance of success or generally yield higher returns

6 ESTABLISHING A NEW BUSINESS

- 1 **a** The right to sell an original creation **b** An invention that has been registered and for which users must pay **c** Ownership of an idea, concept or original work for which payment may be due **d** Payment to a creator for the use of their product **e** A distinguishing mark or sign which protects its owner from copies
- 4 She sought copyright over her songs and she also appointed an agent. She could take a rival musician to court for breach of copyright and perhaps be awarded damages.
- 5 Poor record-keeping, spending the profits too quickly, not sticking to a business plan. Correct these practices.
- 6 She took out a patent on her invention. Mikki's creation was a written or musical work which involved copyright.
- 7 Take the person to court and sue for damages or potential lost income. She can register a patent with IP Australia (Federal Government agency)
- 8 Copyright Agency Limited collects information from schools and universities which copy original works, and pays the copyright owners a fee for the use of their work. The Australian Copyright Council provides advice on copyright matters.
- 9 A business name is the official name under which the business operates, while a domain name is the Internet address of the business (which may be different)
- 10 A business name applies to all businesses, whether sole traders or companies, while a company name must be registered as such by law and documents supplied.

Selected answers.....

7 BUYING INTO A FRANCHISE

- 1 A legal arrangement between the owner of a trade name and an individual wishing to use that name as a business
- 2 Franchisor is the owner of the trade name, franchisee is the individual who wishes to use the name and operate the business
- 3 **a** The franchise featured in an episode of TV show South Park. Important as good advertising **b** Subway outnumbers McDonald's (824 to 733 shops in Melbourne) **c** Starbucks, McDonald's, Pizza Hut, KFC, Hungry Jacks **d** They wanted to open a café or sandwich shop and were also interested in the Subway concept **e** International conferences, help with business plans, help from other franchisees, field consultancy visits **f** Consistency is essential otherwise the franchise is not genuine. Customers need to know what they are getting
- 4 **a** KFC in 1968 **b** Technically, in percentage terms - Boost Juice, from 1 to 150, but Subway- growth (from 293 to 824 **c** KFC (450) in 2000 and Subway (824) in 2005 **d** Food franchises are extremely popular in Australia, number of stores and growth over last 5 years support this.

8 LOCATING A BUSINESS

- 1 The cartoon shows the importance of the location of the tie seller in that it is assumed the exclusive restaurant will require patrons to wear one before entry
- 2 Middle illustration - Restaurant located close to other services, such as parking, bank and also suppliers such as fruit and vegetable and butcher shop. Bottom left illustration - Manufacturing business located close to major transport routes. Bottom right illustration - ABC travel agency in better location in among shops while XYZ travel agency located out of shopping district
- 3 Leftsville has more people over 65 years of age (potential coffee drinkers) and fewer children, there is room for growth (new housing subdivisions) also fewer coffee shops so it may be a better location
- 4 Toyshop business would be better locating in Rightsville because of larger number of households with 3 or more children and more people under 25 years of age.
- 5 *Butcher:* Small suburban shopping centre; Small business, local customers
Car parts manufacturer: On major highway; Ease of transport
General store: On corner of street; Passing local traffic
Electronic equip. exporter: Near airport; Ease of transport
Hot bread shop: In major regional shopping centre; Need high volume potential customers
Fashion clothing store: In major city centre; People shop in major cities for fashion items
- 6 Location does matter. Financial advisers or planners, computer programmers.
- 7 Any business which relies on passing trade, e.g. a motel, or a factory processing minerals which needs to be close to source of raw materials

9 DEVELOPING A BUSINESS PLAN

- 1 Planning is important in any endeavour and is certainly crucial in a successful business - so you know what you are doing, and how.
- 3 What business am I in? What am I selling? Who will I be selling to? Why would people want to buy my product?
- 4 They believed it would be an easy business to establish, they could use their home and would make money
- 5 To provide healthy plants to sell to passers-by. A mission statement is important as it defines the main aim of the business in a few words
- 6 Financial plan is important to control financial arrangements and guard against losses. Loss of control of finances could follow if there was no plan
- 7 Action plan itemises step by step what is to be done while management plan is a general description of how the business is organised on a day-to-day basis
- 8 Radio advertisements, more newspaper ads, letter box drops, more signs near bus stops or railway stations, etc.
- 9 Any business which requires lots of enthusiasm and hard work but not much capital (money to get started). Gardening is an example
- 10 The injury, illness, death or resignation of a partner
- 11 If Jack became seriously ill, Jill could operate alone, Jack could

reduce his workload and take less in profits, or else Jill could take on another partner.

10 MANAGING A BUSINESS

- 1 Creativity is using the imagination to think up new ideas and new ways of doing things. It is important in a business to look for better methods and improve efficiency
- 2 Helena Polek's leadership style is more supportive and relies on consultation while Malachi Berkin's leadership style is more autocratic and inflexible. Most people would find Helena's style preferable.
- 3 Include words or phrases such as: setting an example, showing the way for others, consulting, organising others, suggesting actions, solving problems
- 4 You can work hard but unless your work is properly targeted, it may be wasted
- 5 Consider your own management style, perhaps ask if you can help them with their time management or show your appreciation of their work. Need to be careful of being too autocratic and getting your staff member offside
- 6 **1** office receptionist - good personal skills, presentable in dress and manners
2 maintenance and repairs - good manual skills
3 book-keeping and accounts - skills in mathematics and accounting
- 7 The reply 'I haven't got time' is often an excuse for 'I don't want to do it' or 'you haven't approached me properly or asked nicely'. Ashley agreed to do the work because she was approached in a friendly, supportive manner.

11 DESIGNING YOUR OWN OFFICE OR WORKSPACE

- 1 It is a place where you can organise your daily tasks and can keep important records, including accounts
- 2 Specially designed so as not to cause injury or strain to parts of the body. It aims to prevent workers from being injured at their workstations or in an office
- 3 Employees could suffer repetitive strain injuries and be off work for long periods
- 4 An office with fewer interior walls. It is important so that employees and supervisors can interact.
- 5 A desk which belongs to no one particular employee but can be used by a number of employees depending on need. It provides flexibility in the workplace and saves on furniture
- 7 A tradesperson would not need as much office furniture, just enough for keeping accounts
- 8 Working from home saves on the cost of renting premises, you can make better use of your time - no time wasted in travelling to work. A tradesperson has little need for rented office space but an agent may need to be more centrally located to make contact with clients

12 MARKETING AND PROMOTING

- 1 It provides customers with information about what is on offer and also tries to persuade people to buy
- 2 Target market is the type of market a business is aiming for. A niche market is a small selective market for a specialised product or a limited number of customers.
- 3 **a** Sales - \$900, Total costs - \$500 (\$200 fixed + \$300 variable), Profit - \$400 (\$900 - \$500) **b** Yes, 300 donuts X \$2.50 = \$750 in sales **c** Below \$1.66, 300 donuts would bring sales to \$500 which would not cover costs or make a profit **d** Yes. At \$3 a donut sales are still \$900 and costs are now \$800 (\$200 fixed costs and \$600 variable costs). No, if the price drops to \$2.50 a donut, sales would be \$750 but costs \$800
- 4 Letter box flyers, ads in local papers and large signs
- 6 **a** Several options - reduce your price, advertise your product as being superior to cheaper copies, even take rival company to court **b** Advertising campaign which focuses on how to operate toy. Produce a better instruction booklet **c** New advertising campaign - use different forms

13 ADVERTISING

- 2 **a** TV, newspapers **b** local newspapers **c** local newspapers or letter box pamphlet **d** television or the Internet **e** promotional function, national newspapers or television **f** television, radio or national newspapers **g** Internet or local newspapers **h** letter box pamphlet
- 3 Main differences are local vs national products and the relative

costs of advertising forms

- 4 **a** 75% off what? What is original price and how is it determined?
b Free gifts can be a successful ploy – people like something for nothing **c** Aim is to pressure or hurry people into buying
 5 Internet ads are on web pages and search engine pages, some are pop-up ads.
 7 No correct answer but need to calculate advertising costs in each case, e.g. how many weeks to run ads in paper, how many leaflets needed?
 8 Aim of companies is to convince people that their brand is the very best. Brand names like Hoover, Esky, Coke are well known.

14 EXPANDING THE BUSINESS

- 1 **a** Another location could help to expand sales but disadvantage is in loss of control. Move to Sydney may mean some loss of control but not necessarily **b** Take out a patent on their product or register a trade mark **c** Could form alliance with pasta manufacturers or producers of other ingredients in their product. Could also sell to clubs **d** Private functions, mobile meal service, aged care homes, etc. **e** Other foods – any products similar to what they are producing **f** May be a good idea but need to check on whether the company they are acquiring is in sound financial state **g** Franchise is a good option if they have developed marketing and management expertise they could pass on to potential franchisees **h** Exporting requires government licences and regulations. They would need legal advice and they would need to be sure they could sell overseas
 2 Lack of control, too much work to be done unless they can get reliable staff, demand for their product may not grow
 3 Sell CDs, also DVD players and DVDs. These products are complementary or closely related.
 4 The hi-fi business could sell the product and the electrician could do the installation based on a recommendation from the hi-fi business
 6 Nearly all businesses now have an Internet link, regardless of size as it is an increasingly popular way of buying goods.
 7 Steady demand for the product and ability to pay (from government funds)
 8 Popularity of Australian wine overseas and tremendous growth has encouraged wineries to expand and to export.

15 RISK MANAGEMENT

- 1 Many businesses fail so there is always a risk. Risks include not covering costs, not being able to meet demand, selling faulty goods, being taken to court etc
 2 Yes, many people, e.g. John Symond. Lessons can be learned from past failures – more cautious approach next time
 3 Falling property prices due to recession. Later success due to targeting home buyers and providing cheap home loans
 4 33.5%
 5 Tarum Truffle – did not meet health regulations – could succeed if this was rectified. Frank Sparkes – lack of control over finances and lack of supervision of employees – need to supervise and control both. Indira Townme – natural disaster – can start again and build premises to withstand storm damage. Dave Drudge – lack of leadership and staff supervision and training. These things must be done. Tania Murillo – economic circumstances beyond control of businessperson. Could look at new marketing strategies or new car products

16 DOING BUSINESS ON THE INTERNET

- 1 Increasing number of people and businesses now do business on the Internet
 2 Over 10% of people buy goods on the Internet – 14% of people pay bills over Internet
 3 **a** Benefits businesses as it is easier and quicker **b** Benefits consumers as they can pay bills without leaving home
 4 Buying or selling goods or services between one business and another
 5 **b** Clear Form- means you can start again if you need to. Submit Order- means you want to go ahead and make the purchase
 6 **a** Making direct contact with consumers through Internet advertising **b** Post notes, watch cartoons, read company news items and participate in interactive activities. Provides contact with customers **c** As a gimmick to interest people
d Making consumers very aware of the brand name which

encourages them to buy that particular brand

- 7 **a** 24/7 – 24 hours a day, 7 days a week **b** ISP – Internet Service Provider (Bigpond, Ozemail etc) **c** HTML – Hypertext Markup Language (computer language) **d** URL – Uniform Resource Locator (web page)

17 KEEPING RECORDS

- 1 A business needs to know if it is making a profit and about money owed or owing
 2 A businessperson should keep business and personal financial records separate so they can keep track of finances
 3 **a** tax invoice **b** auditor **c** credit note **d** spreadsheet **e** receipt **f** petty cash voucher **g** accountant **h** journal **i** Ledger **j** statement **k** cheque **l** creditor
 4 A statement which balances or reconciles the cash balance in the business with bank statement at a particular date
 5 **a** Bank Reconciliation Statement of Ivan Pullem as at 31st March 2006

Balance as per bank statement	\$28 000
Add deposits 30 March	<u>\$2 000</u>
	\$30 000

Less unrepresented cheques	\$3 500
	<u>\$1 500</u>
	\$5 000

Balance as per cash book \$25 000

- b** Bank Reconciliation Statement of Brigid Maguire as at 30th November 2006

Balance as per bank statement	\$40 000
Add deposits 28 November	<u>\$3 000</u>
	\$43 000

Less unrepresented cheques	<u>\$2 000</u>
Balance as per cash book	\$41 000

- c** Bank Reconciliation Statement of Bill Sparks as at 30th November 2006

Balance as per bank statement	\$4 250
Add deposits 29 November	<u>\$120</u>
	\$4 370

Less unrepresented cheques	\$400
Balance as per cash book	<u>\$3 970</u>

18 PROFIT AND LOSS STATEMENTS

- 1 To see what profit or loss the business is making over a given period of time
 2 Profit or loss can only be measured over time, during a trading period
 3 Gross profit is Sales less the cost of goods sold
 4 Opening stock – the goods you still have left unsold at the beginning of a trading period. Closing stock – the goods you have left unsold at the end of a trading period. Cost of goods sold – the cost of purchases with an adjustment for stock
 5 Gross profit is sales less cost of goods sold (basically sales less purchases). Net profit is profit after all other expenses have been taken into account
 6 Gross Profit was \$110 000, Net Profit was \$68 000. Difference caused by other expenses, especially wages
 7 Profit and Loss Statement for Action Jackson Company for 3 months ending 30 June 2006

Sales	\$45 000
Cost of goods sold	
Opening stock	\$5 000
Plus Purchases	<u>\$30 000</u>
	\$35 000
Less Closing stock	<u>\$8 000</u>
	\$27 000
Gross Profit	<u>\$18 000</u>

Operating expenses	
Wages	\$4 000
Rent	\$3 000
Advertising	\$2 000
Telephone	\$500
Insurance	<u>\$500</u>
Total expenses	\$10 000
Net Profit	<u>\$8 000</u>

- 8 **a** Tsang Toy company had net profit figure and higher

Selected answers.....

net profit ratio (as % of sales $\frac{68\,000}{120\,000} \times \frac{100}{1} = 56\%$)
 Action Jackson had net profit ratio of $\frac{8\,000}{45\,000} \times \frac{100}{1} = 17\%$

b Tsang Toy Company had higher operating expenses but understandable because of higher volume of sales
c Tsang Toy Company had higher opening stock than closing stock, Action Jackson Company had the reverse

9 Sales of \$52 000 (Gross profit then \$42 000, less expenses \$42 000 = net loss).

19 BALANCE SHEETS

1 Balance sheet is a statement of the assets and liabilities of a business (including owner's equity) on a given date. It is to show what the business owns and owes at a particular point in time.

2 Balance sheet is at a given date while profit and loss statement is over a trading period. They also show different things

3 What the business owes the owner or owners (who have invested their money in the business). It is the difference between assets and liabilities of the business

4 Balance Sheet of Tsang Toy Company as at 30 June 2006

Assets		Equities	
Building	\$15 000	Owner's equity	\$27 000
Machinery	\$10 000	Liabilities	
Motor vehicles	\$30 000	Dsari's Plastics	\$30 000
Cash in the bank	\$4 000	Bank Loan	<u>\$10 000</u>
Stock unsold goods	<u>\$8 000</u>		
	\$67 000		\$67 000

Totals are different but they still balance (assets and equities) since \$1000 has been withdrawn from bank. Owner's equity is now reduced by same amount.

5 Assets – premises, factory, motor vehicles, fixtures and fittings, office furniture and equipment

Liabilities – bank loan, money owed to creditors (purchase of materials etc)

6 \$5000 (see formula below)

7 \$30 000 (A = E. A – L = owner's equity, 30 000 – 14 000 = 16 000)

8 Balance Sheet for Action Jackson Company as at 30 June 2006

Assets		Equities	
Factory & premises	\$20 000	Owner's equity	\$56 000
		Liabilities	
Motor vehicles	\$25 000	JD Wholesalers	\$6 000
Cash in the bank	\$24 000	Bank Loan	<u>\$12 000</u>
Stock unsold goods	<u>\$5 000</u>		
	\$74 000		\$74 000

9 Assets for two companies very similar, liabilities for Tsang Toy Company are higher, owner's equity for Tsang Toy Company therefore lower than Action Jackson company.

20 MANAGING FINANCES

1 **a** Accounts which indicate customers who owe the business money **b** Accounts which indicate what the business owes to others **c** A report which shows what cash is coming into the business and what cash is going out of the business during a period of time

2 **a** One report shows a cash flow gain over the period while the other shows a net loss **b** Inflow is less than outflow, due mostly to relatively low sales figure **c** Boost sales with a marketing plan, and look at ways to reduce expenses, such as electricity

3 Cash flow report of the Ace Sports Club – July – September 2006

Inflow		
From sales	\$1000	
From donations	\$100	\$1100
Outflow		
Cash purchases	\$500	
Electricity	\$50	\$550
Net change in cash		+\$550

4 **a** Send reminder notices to those who owe money **b** May suffer losses or even go out of business **c** A series of negative 'net change in cash' figures

5 Borrow money to pay the amounts owing, or pay debts according to some priority order (time). Can also attempt to boost sales

6 To regulate their cash flow situation

7 Delay paying bills while at the same time chasing up money owed to them to improve their cash flow situation

8 They need to know their profits or losses over different trading periods as a measure of their success and also to know the situation regarding their assets and liabilities - how much the business is worth to its owner(s).

21 TAXES AND THE GST

1 Income tax applies to sole traders and partnerships, companies pay company tax. All are subject to GST

2 **a** Goods and Services Tax **b** Pay As You Go **c** Australian Business Number **d** Business Activity Statement **e** Australian Tax Office

3 To provide a description of goods or services being supplied by a business

Also the name, address and ABN of the business

4 **a** \$15 **b** \$165 **c** 11

5 They add 10% to amounts owing and pass it on to the ATO. Tax input credits are allowances the ATO makes for GST amounts included in the price of business purchases

6 Businesses at each stage in the production process pay the GST. The customer pays the GST to the businesses and not directly to the ATO

7 **a** Sales \$2200, GST on sales \$200, less tax input credits \$300 = \$100 refund from ATO **b** Sales \$715, GST on sales (divide by 11) \$65, less tax input credits \$50 = \$15 payable to ATO

8 **a** BUSINESS ACTIVITY STATEMENT

Computer Solutions Company

3 month ended 30 June 2006

GST amounts owed to ATO from sales

Total Sales \$110 000

GST on sales (sales divided by 11) \$10 000

GST amounts ATO owes business from purchases

Total Purchases subject to GST \$66 000

GST on purchases (purchases divided by 11) \$6 000

Net GST payable \$4 000

9 Taxable income \$70 000

Tax payable on \$70 000 \$11 772 plus 42% of

- on \$63 001 + \$ 2 940

- on \$7000 \$14 712

10 Nil, as \$6000 is tax free threshold

11 30% of \$90 000 = \$27 000

12 Companies have a maximum tax rate of 30% but sole traders or partnerships with high profit earnings might pay up to 45% (top personal tax rate). Sole traders or partnerships in this situation would be encouraged to form a company to minimise tax. If their profits were modest they may be better off, but they may not wish to go to the trouble of forming a company.

22 BUSINESS CROSSWORD

Across **4** plan **8** taxation **13** accountant **14** statement **17** competition **22** expenses **23** proprietor **24** market **25** equity

Down **1** entity **2** franchise **3** management **5** liquidation **6** auditor **7** profit **9** capital **10** director **11** entrepreneur **12** partnership **15** company **16** liability **18** invoice **19** loss **20** income **21** assets

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Living and Work Literacy Book 3

This third book in the *Living and Work Literacy* series provides photocopiable activities that explore the management of small enterprises. Throughout these topics, students will investigate different types of business, various ways to own a business and how businesses operate. Concepts are explored through a range of challenging short answer, class discussion and research activities. Each topic is self-contained and selected answers have been provided to make marking time-efficient.

Topics contained in this book are suitable for secondary school subjects in years 7–10 that teach young people about the practical skills and knowledge that they need to participate fully in society. Other books in this series cover topics such as money and being a wise consumer, government and law, and work skills.

Topics include

Qualities of a good businessperson
Business organisations
Company profiles
Buying a business
Establishing a new business
Buying a franchise
Business plans

Marketing and promotion
Advertising
Risk management
Business on the Internet
Managing finances
Taxation and GST



Associated titles in the Instant Lessons series

- Living and Work Literacy (Books 1, 2, 4)
- Civics for Australian Schools (Books 1, 2, 3, 4)
- Instant Lessons in Legal Studies (Books 1, 2, 3)
- Instant Lessons in Family and the Law
- Instant Lessons in Law, Justice and Human Rights